

ENTERPRISE SERVICES AGREEMENT

AGREEMENT dated as of January 15, 2026 ("Effective Date")

BETWEEN:

TECHVISTA CORPORATION 2400 Sand Hill Road, Suite 300 Menlo Park, California 94025 United States of America ("Client")

AND:

GLOBALHR SOLUTIONS INC. 1550 Peachtree Street NE, Tower Two Atlanta, Georgia 30309 United States of America ("Provider")

RECITALS

WHEREAS, Client is a software-as-a-service corporation with approximately 8,500 employees located across multiple countries including the United States, Canada, United Kingdom, Germany, India, and Australia;

WHEREAS, Provider is in the business of providing comprehensive human resource information systems, payroll processing, benefits administration, and related services to enterprise clients;

WHEREAS, Client desires to engage Provider to perform comprehensive payroll, HRIS, and related services on the terms and conditions set forth in this Agreement;

NOW, THEREFORE, in consideration of the mutual covenants and agreements hereinafter set forth and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

ARTICLE 1: DEFINITIONS

1.1 Definitions. For purposes of this Agreement, the following terms shall have the meanings set forth below:

"**Affiliated Company**" means any entity that directly or indirectly controls, is controlled by, or is under common control with a party, where "control" means ownership of more than fifty percent (50%) of the voting securities or beneficial interests of such entity.

"**Applicable Laws**" means all applicable federal, state, provincial, local, and foreign laws, rules, regulations, orders, and directives, including but not limited to employment laws, tax laws, data protection laws, and privacy regulations.

"**Benefits**" means health insurance, dental insurance, vision insurance, life insurance, disability insurance, 401(k) retirement plans, stock option plans, flexible spending accounts, health savings accounts, and any other employee benefit programs administered by Provider under this Agreement.

"**Business Day**" means any day other than a Saturday, Sunday, or federal holiday in the United States.

"**Confidential Information**" means all non-public information disclosed by one party to the other party, whether orally or in writing, that is designated as confidential or that reasonably should be understood to be confidential given the nature of the information and the circumstances of disclosure.

"**Covered Countries**" means the United States of America, Canada, United Kingdom, Germany, India, and Australia.

"**Critical Issue**" means any issue that (a) prevents payroll from being processed or paid on scheduled pay dates, (b) results in incorrect payments exceeding \$500 to any individual employee, (c) causes a material breach of tax compliance obligations, or (d) results in unauthorized access to Employee Data.

"**Employee**" means any person employed by Client or its Affiliated Companies who is included in the Services provided under this Agreement, whether full-time, part-time, temporary, or contract worker.

"**Employee Data**" means all personal, financial, tax, and employment-related information pertaining to Employees that is provided to or accessed by Provider in connection with the Services.

"**GDPR**" means the General Data Protection Regulation (EU) 2016/679.

"**HRIS**" means human resource information system.

"**Intellectual Property Rights**" means all worldwide patents, copyrights, trademarks, service marks, trade secrets, know-how, and other proprietary rights.

"**Pay Period**" means the recurring period established by Client for calculating employee compensation, which may be weekly, bi-weekly, semi-monthly, or monthly depending on jurisdiction and employee classification.

"**Services**" means all payroll processing, HRIS, benefits administration, compliance, and related services provided by Provider under this Agreement as described in Article 2.

"**SLA**" means service level agreement as specified in Schedule B.

"**System**" means Provider's proprietary cloud-based platform, including all software, hardware, networks, and infrastructure used to deliver the Services.

ARTICLE 2: SCOPE OF SERVICES

2.1 Payroll Processing Services.

Provider shall provide comprehensive payroll processing services for all Employees in the Covered Countries, including:

(a) Multi-Country Payroll Processing:

- Processing regular payroll, supplemental payroll, bonus payments, commissions, and other compensation for all Pay Periods
- Calculating gross-to-net pay including all applicable deductions, withholdings, and garnishments
- Processing payroll for the following jurisdictions:

- United States: All 50 states, District of Columbia, and territories
- Canada: All provinces and territories
- United Kingdom: England, Scotland, Wales, and Northern Ireland
- Germany: All Länder
- India: All states and union territories
- Australia: All states and territories
- Supporting multiple pay frequencies (weekly, bi-weekly, semi-monthly, monthly) simultaneously across different employee groups
- Processing off-cycle payments, termination payments, and retroactive adjustments
- Managing multi-currency payments and foreign exchange calculations

(b) Tax Compliance and Withholding:

- Calculating and withholding all required federal, state, provincial, local, and foreign income taxes
- Calculating and withholding Social Security, Medicare, FICA, National Insurance, CPP, EI, superannuation, and other statutory payroll taxes
- Remitting all tax payments to appropriate government authorities on Client's behalf by required deadlines
- Filing all required payroll tax returns and reports including:
 - US: Forms 941, 940, state quarterly returns, local returns
 - Canada: PD7A, T4 Summary, Record of Employment (ROE)
 - UK: Real Time Information (RTI) submissions, P60, P11D
 - Germany: Electronic wage tax certificate (Lohnsteuerbescheinigung)
 - India: TDS returns, Form 24Q
 - Australia: Single Touch Payroll (STP), Payment summaries
- Maintaining tax compliance guarantee as specified in Section 2.1(c)
- Monitoring and implementing all changes to tax laws and regulations
- Providing tax compliance consulting and responding to tax authority inquiries

(c) Tax Compliance Guarantee:

Provider guarantees full compliance with all Applicable Laws relating to payroll tax calculation, withholding, remittance, and reporting in all Covered Countries. If any errors, penalties, fines, or interest charges are assessed against Client due to Provider's failure to properly calculate, withhold, remit, or report payroll taxes, Provider shall:

- (i) Reimburse Client for all penalties, fines, and interest charges within thirty (30) days of written notice;
- (ii) Correct the error at no additional cost to Client;
- (iii) Communicate directly with the relevant tax authority to resolve the matter;
- (iv) Provide written documentation of the error, root cause analysis, and corrective actions taken; and
- (v) Implement measures to prevent recurrence of similar errors.

This guarantee does not apply to errors resulting from inaccurate, incomplete, or untimely information provided by Client, or from Client's failure to follow Provider's documented procedures and deadlines.

(d) Garnishment and Levy Processing:

- Processing wage garnishments, child support orders, tax levies, student loan garnishments, and other court-ordered deductions
- Calculating garnishment amounts in accordance with federal and state/provincial priority rules and maximum withholding limitations
- Remitting garnishment payments to appropriate agencies and creditors
- Maintaining garnishment records and responding to garnishment-related inquiries
- Providing termination notifications to garnishment agencies when Employees separate from employment

(e) Payment Distribution:

- Distributing employee payments via:
 - Direct deposit (ACH in US, EFT in Canada, BACS in UK, SEPA in Germany, NEFT/RTGS in India, direct entry in Australia)
 - Payroll cards for employees without bank accounts
 - Physical checks where required by law or employee preference (US and Canada only)
 - International wire transfers for employees in non-standard locations
- Processing direct deposit changes and managing banking information securely
- Handling payment reversals, stop payments, and returned payments
- Providing same-day emergency payments for critical payroll errors

2.2 Benefits Administration Services.

Provider shall administer all Client-sponsored Benefits programs, including:

(a) Health and Welfare Benefits:

- Enrolling Employees in health insurance (medical, prescription drug), dental insurance, vision insurance, life insurance, short-term disability, long-term disability, and supplemental insurance plans
- Processing new enrollments, life event changes (marriage, birth, adoption, divorce), annual open enrollment, and terminations
- Calculating and deducting employee benefit contributions from payroll
- Generating and transmitting eligibility files to insurance carriers on required schedules
- Reconciling carrier invoices and facilitating premium payments
- Processing COBRA administration including notifications, elections, premium collection, and terminations
- Managing flexible spending accounts (FSA) and health savings accounts (HSA) including enrollment, contributions, and vendor coordination
- Supporting Section 125 cafeteria plan administration and compliance testing

(b) Retirement Benefits:

- Administering 401(k) retirement plans including:
 - Employee enrollment and education
 - Processing employee deferrals and employer matching contributions
 - Calculating contribution limits and performing nondiscrimination testing coordination
 - Transmitting contribution data and remittances to plan recordkeeper
 - Processing loans, hardship withdrawals, and distributions
 - Managing auto-enrollment and auto-escalation features
 - Coordinating annual compliance testing (ADP, ACP, top-heavy)

(c) Equity Compensation:

- Recording stock option grants, vesting schedules, exercises, and releases
- Calculating tax withholding on equity compensation events
- Processing supplemental payroll for stock option exercises and RSU vesting
- Generating IRS Form 3921 and Form 3922 reporting
- Coordinating with stock plan administrator for equity transactions

(d) Leave Management:

- Tracking and administering vacation, sick leave, personal days, and other paid time off (PTO)
- Managing Family and Medical Leave Act (FMLA) leaves including eligibility determination, certification, and tracking
- Administering short-term disability, long-term disability, and workers' compensation leaves
- Coordinating state-specific leave programs (California Paid Family Leave, New York Paid Family Leave, etc.)
- Processing leave-related payroll adjustments and benefits continuation

(e) Benefits Compliance:

- Preparing and filing IRS Forms 1094-C and 1095-C for Affordable Care Act (ACA) reporting
- Monitoring and ensuring ACA employer mandate compliance
- Generating required benefits notices and disclosures (Summary Plan Descriptions, Summary of Benefits and Coverage, COBRA notices, HIPAA notices, etc.)
- Supporting benefits compliance audits and DOL/IRS inquiries
- Maintaining documentation for ERISA compliance

2.3 Time and Attendance Tracking.

Provider shall provide integrated time and attendance tracking functionality, including:

(a) Time Collection:

- Cloud-based time and attendance system with web portal, mobile application, and optional biometric time clocks
- Recording employee clock-in/clock-out, meal breaks, and rest breaks
- Supporting multiple time entry methods (web, mobile, kiosk, supervisor entry)
- Capturing job codes, department codes, project codes, and other labor distribution dimensions
- Recording PTO requests and approvals
- Integrating with building access control systems where applicable

(b) Time Processing:

- Calculating regular hours, overtime hours, and double-time hours in accordance with FLSA, state laws, and Client policies
- Applying complex pay rules including shift differentials, on-call pay, call-back pay, and premium pay
- Supporting multiple work schedules (standard, compressed, rotating shifts, flex schedules)
- Managing multi-state and multi-location employees with different overtime rules
- Processing manager approvals and exception handling
- Seamless integration with payroll processing to eliminate manual data entry

(c) Absence Management:

- Tracking PTO accruals, usage, and balances by leave type
- Managing leave request and approval workflows
- Enforcing blackout dates, minimum notice periods, and maximum usage rules
- Providing employee and manager self-service for leave requests and balance inquiries
- Supporting unlimited PTO policies and anniversary-based accrual schedules

(d) Compliance Features:

- Recording meal and rest break compliance for California and other jurisdictions with specific break requirements
- Generating reports for wage and hour compliance audits
- Tracking hours for ACA full-time employee determination
- Managing minor work hour restrictions and compliance
- Providing audit trails for all time entries and approvals

2.4 Human Resource Information System (HRIS).

Provider shall provide a comprehensive cloud-based HRIS with the following capabilities:

(a) Employee Records Management:

- Centralized employee database containing all personnel information including personal data, employment history, compensation, benefits, performance, and documents
- Supporting employee data for all Covered Countries with country-specific fields and compliance requirements
- Maintaining complete employment history including position changes, transfers, promotions, compensation changes, and status changes
- Storing employee documents (offer letters, contracts, performance reviews, disciplinary actions, certifications) with secure access controls
- Managing organizational hierarchy including reporting relationships, departments, divisions, cost centers, and locations
- Tracking job descriptions, job codes, pay grades, and compensation bands
- Recording emergency contacts, beneficiaries, and dependent information

(b) Onboarding Workflows:

- Automated new hire onboarding with customizable workflows for different employee types and locations
- Electronic offer letter generation and acceptance
- New hire paperwork including tax withholding forms (W-4, state withholding, international equivalents), I-9 employment eligibility verification, direct deposit authorization, benefits enrollment, and company policy acknowledgments
- Integration with background check vendors for employment screening
- Equipment requisition and IT account setup automation
- Manager and buddy assignment with automated notifications
- Onboarding task tracking and completion monitoring
- New hire orientation scheduling and completion tracking
- 30-60-90 day check-in reminders and performance milestone tracking

(c) Offboarding Workflows:

- Automated termination processing with separation reason tracking
- Exit interview scheduling and documentation
- Benefits termination and COBRA notification generation
- Equipment return tracking and facility access termination coordination
- Final paycheck calculation including unused PTO payout, pro-rated bonuses, and expense reimbursements
- Post-termination payment processing (commission, bonus, equity)
- Unemployment claims management and response coordination
- Record retention management in accordance with applicable laws
- Offboarding task lists for IT (account deactivation), facilities (badge return), HR (exit interview), and managers (knowledge transfer)

(d) Employee Self-Service Portal:

- Secure web and mobile access for Employees to view and update personal information
- Pay statement access with ability to view current and historical pay stubs
- Tax form access (W-2, 1099, international equivalents) with electronic delivery
- Benefits enrollment, changes, and plan document access
- PTO balance inquiry and leave request submission
- Time entry and approval for exempt and non-exempt Employees
- Performance review access and completion
- Document acknowledgment (policies, handbooks, training)
- Direct deposit management and payment history
- Life event reporting and status changes
- Personal information updates (address, phone, emergency contacts, tax withholding)

(e) Manager Self-Service:

- Team roster access with drill-down to employee profiles
- Approval workflows for time entries, PTO requests, expenses, and personnel changes
- Compensation planning and merit increase processing
- Performance review initiation, completion, and tracking
- Organizational charts and headcount reporting
- New requisition requests and candidate tracking
- Onboarding task monitoring for new team members
- Dashboard with team metrics, pending approvals, and upcoming milestones

2.5 Reporting and Analytics.

Provider shall provide comprehensive reporting and analytics capabilities, including:

(a) Standard Reports:

- Over 300 pre-built reports covering payroll, benefits, compliance, time and attendance, and HR analytics
- Payroll register, deduction register, earnings summary, tax liability reports
- Benefits enrollment reports, carrier eligibility files, premium reconciliation reports
- Headcount reports, turnover analysis, new hire reports, termination reports
- Time and attendance summary, overtime reports, PTO accrual and usage reports
- Labor distribution reports by department, cost center, project, and location
- Compensation analysis including salary ranges, pay equity analysis, and merit increase tracking
- Compliance reports including ACA, COBRA, FMLA, EEO-1, VETS-4212, and OSHA
- Year-end reports and tax filing summaries
- Audit reports with complete transaction history and approval trails

(b) Custom Reporting:

- Ad-hoc report builder with drag-and-drop interface accessible by authorized Client users
- Access to all data fields in the System with ability to create custom calculations and formulas
- Support for complex filters, grouping, sorting, and conditional formatting
- Ability to schedule reports for automatic generation and distribution
- Export functionality to multiple formats (PDF, Excel, CSV, XML)
- Dashboard creation with visual charts, graphs, and key performance indicators
- Benchmarking reports comparing Client metrics to industry standards
- Provider will create up to twenty-five (25) custom reports per year at no additional charge as part of implementation and ongoing support

(c) Analytics and Business Intelligence:

- Interactive dashboards for executives, HR leadership, and managers
- Workforce analytics including retention rates, time-to-fill, source of hire, and cost-per-hire
- Compensation analytics with pay equity analysis and market comparisons
- Benefits utilization and cost analysis
- Predictive analytics for turnover risk and succession planning
- Diversity, equity, and inclusion (DEI) metrics and reporting
- Labor cost analysis and budget variance tracking

2.6 Compliance Services.

Provider shall provide ongoing compliance monitoring and support, including:

(a) Regulatory Monitoring:

- Continuous monitoring of federal, state, provincial, local, and foreign laws and regulations affecting payroll, benefits, employment, and data privacy
- Quarterly compliance updates delivered to Client via written summary, webinar, and email notifications
- Proactive notification of new laws, regulatory changes, and compliance deadlines affecting Client
- Updates to System to maintain compliance with all Applicable Laws

(b) Year-End Tax Form Processing:

- Generation and distribution of all required year-end tax forms including:
 - US: Forms W-2, W-3, 1099-NEC, 1099-MISC, 1099-R, 1095-C, 1094-C
 - Canada: T4, T4A, T4 Summary, RL-1 (Quebec)
 - UK: P60, P11D, P11D(b)

- Germany: Electronic wage tax certificate
- India: Form 16, Form 12BA
- Australia: Payment summaries, PAYG payment summary
- Electronic filing with tax authorities where required or available
- Providing employees electronic access to tax forms via self-service portal
- Mailing physical copies to employees who opt for paper delivery or lack electronic access
- Processing corrections and reissued forms
- Responding to employee inquiries regarding tax forms

(c) Compliance Consulting:

- Access to compliance specialists for questions regarding employment law, wage and hour, benefits, and payroll compliance
- Guidance on multi-state and international employment issues
- Support for responding to government audits and inquiries (DOL, IRS, state agencies)
- Review of Client policies and procedures for compliance issues upon request
- Regular compliance training webinars on topics such as FLSA, ACA, FMLA, payroll tax compliance, and employment law updates

(d) ACA Compliance:

- Measurement and tracking of employee hours to determine full-time status under ACA
- Affordability calculations and safe harbor testing
- Generation of employee notices regarding health coverage eligibility
- Preparation and filing of Forms 1094-C and 1095-C with IRS
- Distribution of Form 1095-C to employees
- Supporting documentation for ACA compliance audits
- Consultation on ACA compliance strategies (look-back measurement method, monthly measurement method, etc.)

2.7 System Integration.

Provider shall provide integration capabilities to connect the System with Client's other enterprise systems:

(a) API Access:

- RESTful API with comprehensive documentation for integration with Client systems
- Real-time API access for reading employee data, payroll data, benefits data, and time data
- API endpoints for creating and updating employee records, submitting payroll data, and processing transactions
- Webhook notifications for system events (payroll completion, employee changes, benefit events)
- OAuth 2.0 authentication and role-based access controls
- API rate limits of 10,000 calls per hour with ability to request higher limits for batch processing
- Dedicated integration support team to assist with API implementation

(b) Pre-Built Integrations:

- Standard integrations with leading enterprise systems including:
 - Accounting systems: Oracle NetSuite, Sage Intacct, Microsoft Dynamics, SAP, QuickBooks Enterprise
 - Benefits carriers and brokers: Standard electronic file formats (EDI 834, custom carrier formats)
 - 401(k) recordkeepers: Fidelity, Vanguard, Empower, Principal, Charles Schwab
 - Expense management: Concur, Expensify, Chrome River
 - Applicant tracking systems: Greenhouse, Lever, Workday Recruiting, iCIMS
 - Learning management systems: Cornerstone, SAP SuccessFactors, Docebo
 - Performance management: Lattice, 15Five, Culture Amp
 - Single sign-on (SSO): Okta, Microsoft Azure AD, Google Workspace, OneLogin
- Automated data synchronization on scheduled intervals (real-time, hourly, daily)
- Error handling and reconciliation for failed transactions

(c) File-Based Integrations:

- Support for scheduled file imports and exports in multiple formats (CSV, XML, JSON, fixed-width)
- Secure file transfer protocol (SFTP) for automated file exchange
- Template creation for custom file formats
- Data validation and error reporting for file uploads
- Automated reconciliation between imported data and System records

(d) Time Clock Integration:

- Integration with Client's existing biometric time clocks and badge readers where compatible
- Support for leading time clock manufacturers (Kronos, ADP, Paychex, etc.)
- Real-time or batch synchronization of time punches
- Exception reporting for integration failures or data discrepancies

2.8 Data Security and Privacy.

Provider shall implement and maintain robust security measures to protect Employee Data:

(a) Security Standards:

- SOC 2 Type II certification with annual audits by independent third-party auditor
- Provider shall provide Client with copy of most recent SOC 2 Type II audit report within thirty (30) days of Effective Date and annually thereafter within thirty (30) days of report completion
- ISO 27001 certification for information security management
- Annual penetration testing and vulnerability assessments by qualified third-party security firms
- Intrusion detection and prevention systems
- Security incident and event management (SIEM) with 24/7 monitoring
- Regular security training for all Provider personnel

(b) Data Encryption:

- AES-256 encryption for all Employee Data at rest
- TLS 1.3 (or higher) encryption for all data in transit
- Encrypted database backups with secure off-site storage
- Hardware security modules (HSM) for encryption key management

- Full disk encryption on all servers and endpoints accessing Employee Data

(c) Access Controls:

- Multi-factor authentication (MFA) required for all user accounts accessing the System
- Role-based access controls (RBAC) with principle of least privilege
- Individual user accounts (no shared credentials) with unique usernames
- Automatic session timeout after 15 minutes of inactivity
- Password requirements: minimum 12 characters, complexity requirements, 90-day expiration
- Regular access reviews and immediate deactivation of terminated user accounts
- Segregation of duties for critical functions (payroll processing, bank file creation, tax filing)

(d) Data Privacy and GDPR Compliance:

- Compliance with GDPR for all Employee Data relating to EU residents
- Data Processing Agreement (DPA) as set forth in Schedule E
- Appointment of Data Protection Officer (DPO) available to Client for privacy inquiries
- Data subject rights support (access requests, deletion requests, portability, rectification)
- Privacy Impact Assessments (PIA) for new processing activities
- Data breach notification procedures with notification to Client within 24 hours of discovery
- Subprocessor management with prior written notice and objection rights
- Cross-border data transfer mechanisms (Standard Contractual Clauses, adequacy decisions)
- Privacy Shield Framework certification for US-EU and US-Swiss data transfers (where applicable)

(e) Business Continuity and Disaster Recovery:

- Redundant data centers in geographically diverse locations
- Real-time data replication between primary and secondary data centers
- Recovery Time Objective (RTO) of 4 hours for System availability
- Recovery Point Objective (RPO) of 15 minutes for data restoration
- Annual disaster recovery testing with documented results
- Backup retention of 7 years for payroll and tax records, 3 years for other Employee Data
- Emergency communication plan for notifying Client of service disruptions

2.9 Implementation Services.

Provider shall implement the System and Services in accordance with the Implementation Plan attached as Schedule F, including:

(a) Project Management:

- Dedicated implementation project manager assigned to Client within 5 Business Days of Effective Date
- Detailed project plan with milestones, deliverables, dependencies, and responsibilities
- Weekly status meetings during implementation phase
- Project governance committee with executive sponsors from both parties
- Risk identification and mitigation planning
- Change management procedures for scope modifications

(b) System Configuration:

- Configuration of System for Client's organizational structure, pay rules, deduction codes, tax jurisdictions, benefit plans, and business processes
- Customization of approval workflows, notification templates, and business rules
- Setup of multi-country payroll processing including local tax jurisdictions and statutory requirements
- Configuration of time and attendance rules including overtime calculations, shift differentials, and break policies
- Benefits plan setup including carrier integrations and enrollment rules
- Security configuration including user roles, permissions, and access controls
- Establishment of interfaces and integrations with Client systems

(c) Data Migration:

- Extract, transform, and load (ETL) of historical employee data from Client's legacy systems
- Migration of current year payroll history, tax withholding data, and benefits elections
- Validation and reconciliation of migrated data
- Up to three (3) test data loads prior to production migration
- Historical data retention accessible via reporting for compliance purposes

(d) Testing:

- System functionality testing to validate configuration
- Integration testing with Client's enterprise systems
- Payroll parallel testing as specified in Section 2.9(e)
- User acceptance testing (UAT) with Client HR team
- Issue tracking and resolution process

(e) Dual-Run Period:

- Twelve (12) week parallel payroll processing period during which Client continues to process payroll in legacy system while Provider processes identical payroll in new System
- Detailed comparison and reconciliation of payroll results for each pay period
- Issue identification and resolution with root cause analysis
- Confidence building for Client prior to production go-live
- Provider guarantees reconciliation of payroll results to within 0.01% variance between systems, with any discrepancies investigated and resolved prior to next payroll

(f) Training:

- Comprehensive training for up to fifty (50) Client HR staff members
- Training delivery options: on-site at Client location, Provider location, or virtual instructor-led
- Training curriculum includes:
 - System navigation and core functionality (4 hours)
 - Payroll processing procedures (8 hours)
 - Benefits administration (6 hours)

- Time and attendance (4 hours)
- Reporting and analytics (4 hours)
- Compliance and year-end processing (4 hours)
- Administrator functions and security management (4 hours)
- Training materials including user guides, quick reference cards, and video tutorials
- Access to Provider's learning management system with on-demand training content
- "Train-the-trainer" sessions for Client's internal training team
- Annual refresher training and new feature training at no additional charge

(g) Go-Live Support:

- On-site support team at Client's headquarters for first two (2) payroll cycles following go-live (up to 5 Provider consultants for up to 5 Business Days per payroll)
- Extended support hours (6:00 AM to 10:00 PM ET) for first four (4) weeks following go-live
- Daily status calls during first two (2) weeks post go-live
- Dedicated escalation hotline for critical issues
- Go-live readiness assessment and formal sign-off prior to production cutover

2.10 Ongoing Support Services.

Following implementation, Provider shall provide ongoing support services:

(a) Support Availability:

- **Critical Issues:** 24 hours per day, 7 days per week, 365 days per year via toll-free phone number and email
- **Routine Issues:** Monday through Friday, 7:00 AM to 7:00 PM Eastern Time, excluding federal holidays
- Support portal accessible 24/7 for case submission and status tracking
- Guaranteed response times as specified in Schedule B (Service Level Agreements)

(b) Dedicated Support Team:

- Named primary payroll specialist assigned to Client account: Jennifer Chen, Senior Payroll Manager (primary), with 12+ years payroll processing experience
- Named backup payroll specialist: Marcus Williams, Payroll Manager (backup), with 9+ years payroll processing experience
- Named HRIS specialist: Priya Patel, HRIS Consultant (primary), with 8+ years HRIS implementation and support experience
- Named backup HRIS specialist: David Thompson, Senior HRIS Consultant (backup), with 10+ years HRIS experience
- Named compliance specialist: Sarah Johnson, Compliance Manager (primary), with 15+ years multi-jurisdictional compliance experience
- Dedicated account manager: Robert Martinez, Enterprise Account Executive, responsible for overall relationship management, service quality, and strategic planning
- Support team members have direct email addresses and phone extensions provided to Client contacts
- Maximum 2 business days advance notice for any changes to Client's named support team members, with proper knowledge transfer

(c) Support Services:

- Payroll processing oversight and quality assurance
- Troubleshooting system issues and errors
- Responding to Client and employee inquiries
- Assisting with benefit enrollments and qualifying life events
- Providing guidance on compliance matters and regulatory changes
- Processing system updates and enhancements
- Quarterly business review meetings with account manager and service team
- Annual strategic planning session to discuss service enhancements and upcoming needs

(d) System Maintenance:

- Scheduled system maintenance windows: Saturday 11:00 PM to Sunday 5:00 AM Eastern Time
- Advance notice of at least five (5) Business Days for scheduled maintenance
- Unscheduled maintenance only in emergency situations affecting system security or availability
- System updates and enhancements released quarterly with release notes and training materials
- New feature training via webinars and documentation

ARTICLE 3: SERVICE LEVEL AGREEMENTS

3.1 Service Level Commitments.

Provider commits to the service levels specified in Schedule B attached hereto and incorporated by reference. Key SLAs include:

(a) Payroll Accuracy Guarantee:

- 99.95% payroll accuracy rate measured as percentage of error-free employee payments per pay period
- For purposes of this SLA, an "error" is defined as any of the following: (i) incorrect gross wages, (ii) incorrect net pay exceeding \$10.00, (iii) incorrect tax withholding exceeding \$5.00, (iv) incorrect deductions exceeding \$5.00, (v) missed payments, or (vi) duplicate payments

(b) Critical Error Correction:

- For payroll errors resulting in incorrect employee payment amounts exceeding \$500.00, Provider shall correct the error and issue corrective payment to affected employee(s) by end of same Business Day if error discovered before 2:00 PM ET, or by 12:00 PM ET next Business Day if error discovered after 2:00 PM ET
- For payroll errors resulting in incorrect employee payment amounts between \$100.00 and \$500.00, corrective payment within one (1) Business Day
- For payroll errors resulting in incorrect employee payment amounts less than \$100.00, corrective payment with next regular payroll or within five (5) Business Days, whichever is sooner

(c) Tax Filing Compliance:

- 100% on-time filing of all payroll tax returns and remittances to government authorities
- Zero tolerance for late filings resulting in penalties or interest due to Provider error

(d) Employee Self-Service Portal Uptime:

- 99.5% uptime during any calendar month, excluding scheduled maintenance windows
- Uptime measured as percentage of minutes per month that portal is accessible and functional
- Scheduled maintenance windows (Saturday 11:00 PM to Sunday 5:00 AM ET) excluded from uptime calculation

(e) System Response Time:

- Average system response time of less than 2 seconds for 95% of user transactions during normal business hours (7:00 AM to 7:00 PM ET)
- Measured from time user initiates transaction until system displays response

(f) Support Response Time:

- Critical Issues: Initial response within 30 minutes, 24/7/365
- High Priority Issues: Initial response within 2 hours during support hours
- Medium Priority Issues: Initial response within 4 hours during support hours
- Low Priority Issues: Initial response within 1 Business Day

Issue priority definitions provided in Schedule B.

3.2 Service Level Credits.

If Provider fails to meet the SLAs specified in Schedule B, Client shall be entitled to service level credits as follows:

(a) Calculation of Credits:

- For each SLA metric, credits calculated based on variance from target performance level
- Credit amounts specified in Schedule B, ranging from 5% to 25% of monthly fees depending on severity and frequency of SLA failures
- Credits calculated monthly based on previous month's performance
- Credits applied to next month's invoice

(b) Credit Limitations:

- Maximum total credits in any month shall not exceed 50% of that month's recurring fees
- Credits are Client's sole and exclusive remedy for Provider's failure to meet SLAs, except in cases of material breach
- Credits do not apply to SLA failures caused by Client's actions, Client's failure to follow documented procedures, force majeure events, or third-party service failures outside Provider's reasonable control

(c) Credit Request Process:

- Client must request credits in writing within thirty (30) days of the month in which SLA failure occurred
- Provider shall review request and respond within ten (10) Business Days
- If parties cannot agree on credit amount, matter shall be escalated to executives and if still unresolved, subject to dispute resolution procedures in Article 15

3.3 Performance Reporting.

Provider shall provide Client with monthly performance reports showing actual performance against all SLAs, including:

- Payroll accuracy metrics with breakdown by error type
- System uptime and availability statistics
- Support ticket volume, response times, and resolution times
- Tax filing compliance status
- Other operational metrics relevant to service quality

Reports shall be delivered within ten (10) Business Days following the end of each month.

ARTICLE 4: RESPONSIBILITIES OF THE PARTIES

4.1 Provider Responsibilities.

In addition to performing the Services, Provider shall:

- (a)** Maintain adequate staffing and resources to perform the Services in a professional and timely manner
- (b)** Ensure all personnel performing Services have appropriate qualifications, training, and expertise
- (c)** Comply with all Applicable Laws in performing the Services
- (d)** Maintain all required licenses, permits, and certifications to perform the Services
- (e)** Use commercially reasonable efforts to prevent interruptions to the Services
- (f)** Provide Client with advance notice of any system updates, enhancements, or changes that may impact Client's use of the System
- (g)** Maintain accurate records of all Services performed and make such records available to Client upon request
- (h)** Promptly notify Client of any issues, errors, or circumstances that may materially impact the Services or Client's compliance with Applicable Laws
- (i)** Cooperate with Client in good faith to resolve any service issues or disputes

4.2 Client Responsibilities.

Client shall:

(a) Data Provision:

- Provide Provider with complete, accurate, and timely employee data, payroll data, and other information necessary for Provider to perform the Services
- Submit new hire information to Provider at least five (5) Business Days prior to first payroll for new employees (or two (2) Business Days with expedited processing fee)
- Submit termination information to Provider within one (1) Business Day of employee's separation
- Submit payroll data according to Provider's payroll calendar and deadlines as follows:

- For weekly payrolls: 3 Business Days prior to pay date
- For bi-weekly payrolls: 3 Business Days prior to pay date
- For semi-monthly payrolls: 4 Business Days prior to pay date
- For monthly payrolls: 5 Business Days prior to pay date
- Submit benefit enrollment changes within two (2) Business Days of qualifying event
- Provide tax levy and garnishment documentation within two (2) Business Days of receipt
- Notify Provider of changes to tax jurisdictions, benefit plans, company policies, or other information affecting Services within five (5) Business Days of change

(b) Approvals:

- Designate authorized personnel who may approve payroll, make system changes, and authorize transactions on Client's behalf
- Provide Provider with current list of authorized personnel with specimens of signatures and defined authority levels
- Review and approve payroll results prior to payment processing according to Provider's approval deadlines
- Review and approve tax filings, benefit carrier files, and other outputs requiring Client approval

(c) Banking and Funding:

- Maintain adequate funds in designated bank accounts to cover all payroll payments, tax remittances, and benefit premiums when due
- Provide Provider with authorization to debit Client's designated bank accounts for payroll funding
- Fund payroll accounts according to Provider's funding schedule (typically two (2) Business Days prior to pay date)
- Immediately notify Provider of any bank account changes or issues affecting payment processing

(d) Compliance:

- Ensure employment practices, policies, and compensation decisions comply with all Applicable Laws
- Maintain required employment posters, notices, and documentation at Client facilities
- Retain copies of employee documents as required by Applicable Laws
- Obtain necessary employment authorizations, work permits, and visas for employees
- Respond timely to unemployment claims, workers' compensation claims, and other employment-related claims

(e) System Usage:

- Ensure Client's authorized users complete required training prior to accessing System
- Maintain confidentiality of user credentials and immediately report any suspected unauthorized access
- Use the System in accordance with Provider's acceptable use policy and documentation
- Cooperate with Provider during system maintenance windows and planned outages

(f) Cooperation:

- Designate a primary HR contact and payroll contact to coordinate with Provider
- Respond to Provider inquiries within timeframes specified in communications
- Participate in required meetings, including implementation meetings, business review meetings, and issue resolution calls
- Provide feedback to Provider regarding service quality and opportunities for improvement

(g) Third Parties:

- Maintain relationships and contracts with benefits carriers, 401(k) recordkeepers, and other third-party vendors
- Ensure third-party vendors cooperate with Provider for integration and data exchange
- Negotiate and pay fees charged by third-party vendors for their services

4.3 Mutual Cooperation.

Both parties shall:

- (a)** Cooperate in good faith to facilitate efficient implementation and ongoing delivery of Services
- (b)** Promptly escalate and work to resolve any issues, disputes, or concerns
- (c)** Communicate regularly regarding service performance, upcoming changes, and strategic initiatives
- (d)** Treat each other's personnel with professionalism and respect

ARTICLE 5: FEES AND PAYMENT TERMS

5.1 Fee Structure.

Client shall pay Provider the fees set forth in Schedule C attached hereto and incorporated by reference. The fee structure is as follows:

(a) Per-Employee-Per-Month (PEPM) Fees:

United States Employees:

- Tier 1 (1-1,000 employees): \$42.00 PEPM
- Tier 2 (1,001-2,500 employees): \$38.00 PEPM
- Tier 3 (2,501-5,000 employees): \$35.00 PEPM
- Tier 4 (5,001-7,500 employees): \$32.00 PEPM
- Tier 5 (7,501+ employees): \$29.00 PEPM

Canada Employees:

- Tier 1 (1-250 employees): \$48.00 PEPM (CAD \$66.00)
- Tier 2 (251-500 employees): \$44.00 PEPM (CAD \$60.50)
- Tier 3 (501+ employees): \$40.00 PEPM (CAD \$55.00)

United Kingdom Employees:

- Tier 1 (1-250 employees): \$46.00 PEPM (GBP £36.00)
- Tier 2 (251-500 employees): \$42.00 PEPM (GBP £33.00)

- Tier 3 (501+ employees): \$38.00 PEPM (GBP £30.00)

Germany Employees:

- Tier 1 (1-250 employees): \$52.00 PEPM (EUR €48.00)
- Tier 2 (251-500 employees): \$48.00 PEPM (EUR €44.00)
- Tier 3 (501+ employees): \$44.00 PEPM (EUR €40.00)

India Employees:

- Tier 1 (1-500 employees): \$28.00 PEPM (INR ₹2,350)
- Tier 2 (501-1,000 employees): \$25.00 PEPM (INR ₹2,100)
- Tier 3 (1,001+ employees): \$22.00 PEPM (INR ₹1,850)

Australia Employees:

- Tier 1 (1-250 employees): \$50.00 PEPM (AUD \$76.00)
- Tier 2 (251-500 employees): \$46.00 PEPM (AUD \$70.00)
- Tier 3 (501+ employees): \$42.00 PEPM (AUD \$64.00)

(b) Fee Basis:

- Fees calculated based on active employee count as of the first day of each month
- "Active employee" means any person who received compensation during the previous month or who is scheduled to receive compensation in the current month, including full-time, part-time, temporary, and on-leave employees
- Terminated employees who received final payments in previous month are not counted
- Employee count determined separately for each country
- Tiering determined separately for each country based on employee count in that country

(c) Initial Employee Counts (estimated as of Effective Date):

- United States: 6,200 employees (Tier 4: \$32.00 PEPM)
- Canada: 450 employees (Tier 2: \$44.00 PEPM)
- United Kingdom: 520 employees (Tier 3: \$38.00 PEPM)
- Germany: 380 employees (Tier 2: \$48.00 PEPM)
- India: 750 employees (Tier 2: \$25.00 PEPM)
- Australia: 200 employees (Tier 1: \$50.00 PEPM)

Estimated initial monthly recurring fee: \$321,110.00

(d) Additional Service Fees:

- Off-cycle payroll processing: \$500.00 per payroll run (US), \$750.00 per payroll run (international)
- Expedited new hire setup (less than 5 Business Days notice): \$75.00 per employee
- Rush final paycheck processing (same-day termination): \$150.00 per employee
- Custom report development: \$200.00 per hour (maximum \$5,000 per report), included for up to 25 custom reports per year as specified in Section 2.5(b)
- Additional training sessions beyond initial implementation training: \$2,500 per day for on-site training, \$1,500 per day for virtual training
- Additional data migration beyond standard migration: \$250.00 per hour
- Audit support (responding to government audits, providing documentation): \$200.00 per hour, first 10 hours per year included
- Historical payroll research (prior to migration date): \$150.00 per hour
- Additional integration development: \$200.00 per hour for custom integrations beyond standard integrations listed in Section 2.7(b)
- Returned payment processing (ACH returns, NSF checks): \$25.00 per occurrence
- Stop payment processing: \$50.00 per occurrence
- Manual check processing (in addition to standard payroll): \$15.00 per check
- Paper W-2 and year-end form mailing: \$5.00 per form (electronic delivery via portal is standard and included)

5.2 Implementation Fees.

(a) One-Time Implementation Fee: \$185,000.00 payable as follows:

- \$62,000.00 (33.3%) due within ten (10) Business Days of Effective Date
- \$62,000.00 (33.3%) due upon completion of system configuration and data migration (estimated Week 6 of implementation)
- \$61,000.00 (33.4%) due upon successful completion of dual-run period and go-live (estimated Week 12 of implementation)

(b) Implementation Fee Includes:

- Project management and implementation services as described in Section 2.9
- System configuration for all Covered Countries
- Data migration from legacy systems
- Up to three (3) test data loads
- Twelve (12) week dual-run parallel payroll processing
- Integration setup for standard integrations listed in Section 2.7(b)
- Training for up to fifty (50) Client HR staff as described in Section 2.9(f)
- Two (2) weeks of on-site go-live support (up to 5 consultants for up to 5 Business Days per week)
- Standard custom reports (up to 25 reports)

******(c) Implementation fees are non-refundable once paid, except in the event of termination by Client for Provider's material breach or termination by mutual agreement, in which case Provider shall refund the pro-rata portion of implementation fees attributable to incomplete implementation services.

5.3 Invoicing and Payment.

(a) Recurring Fees:

- Provider shall invoice Client monthly in advance for recurring PEPM fees
- Invoices issued by the first (1st) Business Day of each month for that month's services
- Payment due within thirty (30) days of invoice date
- Fees for additional services (off-cycle payrolls, custom reports, etc.) invoiced monthly in arrears based on services provided during previous month

(b) Payment Method:

- Client shall pay by ACH transfer to Provider's designated bank account or by wire transfer
- Banking information provided on invoice

- Client may opt for automatic ACH debit authorization

(c) Late Payments:

- Late payment interest of 1.5% per month (18% per annum) or the maximum rate permitted by law, whichever is less, on any undisputed amounts not paid when due
- If invoice remains unpaid for more than sixty (60) days, Provider may suspend Services upon fifteen (15) days written notice to Client, provided Client has not disputed charges in good faith
- Provider shall not suspend Services during any pay period if suspension would prevent Client from processing payroll
- If invoice remains unpaid for more than ninety (90) days, Provider may terminate this Agreement upon thirty (30) days written notice

(d) Disputed Charges:

- Client must notify Provider in writing of any disputed charges within fifteen (15) days of invoice date, specifying the amount in dispute and basis for dispute
- Client shall pay all undisputed amounts by due date
- Parties shall work in good faith to resolve disputed charges within thirty (30) days
- If resolution cannot be reached, dispute shall be escalated under Article 15

5.4 Annual Price Adjustments.

(a) Maximum Annual Increase:

- Commencing on the first anniversary of the Effective Date, Provider may increase recurring PEPM fees annually
- Maximum increase: Consumer Price Index for All Urban Consumers (CPI-U) percentage change from prior 12 months plus 2.0%
- For example, if CPI-U increased 3.5% over prior 12 months, maximum fee increase would be 5.5%
- CPI-U measured using most recent December-to-December change published by U.S. Bureau of Labor Statistics

(b) Notice and Effective Date:

- Provider must provide Client with at least ninety (90) days advance written notice of any annual price increase
- Price increases effective on anniversary of Effective Date (or month thereafter if notice requirement extends past anniversary)
- Notice must specify exact percentage increase and new PEPM rates by country and tier

(c) No Increase in First Year:

- Notwithstanding Section 5.4(a), fees shall remain fixed for first twelve (12) months following Effective Date with no increase

(d) Extraordinary Cost Increases:

- If Provider experiences extraordinary cost increases due to changes in Applicable Laws, tax rate changes, or government-mandated processing requirements, Provider may request additional fees beyond annual CPI + 2% cap
- Provider must demonstrate cost increase with documentation and provide detailed justification
- Client may accept additional fees, negotiate alternative solution, or terminate this Agreement without penalty upon sixty (60) days notice
- Extraordinary cost increases do not apply to general inflation, wage increases, or normal business costs

5.5 Taxes.

(a) All fees are exclusive of taxes. Client shall be responsible for and shall pay all sales, use, excise, value-added, goods and services, and other taxes or duties assessed on the Services, excluding taxes based on Provider's net income.

(b) If Provider is required to collect or pay taxes for which Client is responsible, Client shall pay such taxes to Provider or reimburse Provider upon presentation of appropriate documentation.

(c) If Client is exempt from taxes, Client shall provide Provider with valid tax exemption certificates for applicable jurisdictions.

ARTICLE 6: TERM AND TERMINATION

6.1 Initial Term.

This Agreement shall commence on the Effective Date and continue for an initial term of three (3) years, ending on January 14, 2029 (the "Initial Term"), unless earlier terminated in accordance with this Article 6.

6.2 Renewal Term.

Following the Initial Term, this Agreement shall automatically renew for successive one (1) year periods (each a "Renewal Term") unless either party provides written notice of non-renewal at least one hundred eighty (180) days prior to the end of the then-current term.

6.3 Termination for Convenience.

(a) Client may terminate this Agreement for convenience at any time after the Initial Term upon one hundred eighty (180) days prior written notice to Provider.

(b) If Client terminates for convenience during the Initial Term, Client shall pay Provider a termination fee equal to:

- 50% of remaining monthly recurring fees through end of Initial Term if termination occurs in Year 1
- 35% of remaining monthly recurring fees through end of Initial Term if termination occurs in Year 2
- 20% of remaining monthly recurring fees through end of Initial Term if termination occurs in Year 3

For example, if Client terminates after 18 months with average monthly fees of \$325,000, termination fee would be: \$325,000 x 18 months remaining x 35% = \$2,047,500

(c) Provider may not terminate this Agreement for convenience during Initial Term. Provider may terminate for convenience during any Renewal Term upon one hundred eighty (180) days prior written notice to Client.

6.4 Termination for Cause.

Either party may terminate this Agreement for cause upon written notice to the other party if:

(a) The other party materially breaches this Agreement and fails to cure such breach within thirty (30) days after receiving written notice of the breach; provided, however, that if the breach is capable of cure but reasonably requires more than thirty (30) days to cure, the breaching party shall have up to sixty (60) days to cure if

the breaching party commences cure within the initial thirty (30) day period and diligently pursues cure thereafter;

(b) The other party becomes insolvent, makes an assignment for the benefit of creditors, files a petition in bankruptcy, is adjudicated bankrupt or insolvent, or has a receiver appointed for its business or assets; or

(c) The other party ceases to do business or dissolves.

6.5 Material Breach by Provider.

Without limiting Section 6.4, Client may terminate this Agreement immediately upon written notice if Provider:

(a) Fails to process payroll on scheduled pay date for more than 5% of Employees and such failure continues for more than 24 hours;

(b) Experiences a data security breach resulting in unauthorized access to Employee Data affecting more than 100 Employees;

(c) Fails to remit payroll taxes to government authorities resulting in penalties or interest exceeding \$50,000 in aggregate;

(d) Loses SOC 2 Type II certification and fails to regain certification within ninety (90) days; or

(e) Fails to meet SLAs for three (3) consecutive months with service level credits exceeding 25% of monthly fees each month.

6.6 Effect of Termination.

Upon termination or expiration of this Agreement:

(a) Transition Assistance:

- Provider shall continue to provide Services for the duration of any notice period
- Provider shall cooperate with Client and any successor service provider to ensure smooth transition of Services
- Provider shall provide transition assistance for up to ninety (90) days following termination date at no additional charge, including:
 - Processing payroll and benefits for transition period
 - Responding to government agency inquiries related to periods during which Provider performed Services
 - Providing historical data and reports
 - Training successor service provider on data formats and processes
 - Transferring Employee Data to Client or successor provider
- If Client requires transition assistance beyond ninety (90) days, Provider shall provide such assistance at Provider's then-current hourly rates

(b) Data Return:

- Within thirty (30) days of termination, Provider shall return to Client (or at Client's direction, to successor service provider) all Employee Data in Provider's possession
- Data shall be provided in commonly accepted electronic formats (CSV, XML, Excel) specified by Client
- Provider shall provide data extract documentation describing file formats, field definitions, and data relationships
- Provider shall certify in writing that all Employee Data has been returned and that Provider has retained no copies except as required by law or for archival purposes as specified in Section 6.6(c)

(c) Data Retention:

- Notwithstanding data return obligations, Provider shall retain archival copies of Employee Data for six (6) months following termination date to:
 - Respond to tax authority inquiries and audits
 - Provide historical data and reports to Client upon request
 - Correct errors discovered after termination
 - Defend against claims or litigation related to Services performed during term
- After six (6) month retention period, Provider shall securely destroy all remaining copies of Employee Data in accordance with Provider's data destruction procedures and provide Client with certificate of destruction
- If Client reasonably requests extended retention due to pending audit, investigation, or litigation, Provider shall retain data for additional period requested (up to 24 months total) at no additional charge

(d) Final Payments:

- Client shall pay all undisputed fees and expenses incurred through termination date within thirty (30) days of final invoice
- Provider shall refund any prepaid fees for Services not rendered on a pro-rata basis within thirty (30) days

(e) Survival:

- The following provisions shall survive termination or expiration of this Agreement: Sections 5.3(c) (Late Payments), 6.6 (Effect of Termination), 7.3 (Indemnification by Provider), 7.4 (Indemnification by Client), Article 8 (Limitation of Liability), Article 9 (Confidentiality), Article 10 (Intellectual Property), Article 15 (Dispute Resolution), and Article 16 (General Provisions)

ARTICLE 7: REPRESENTATIONS, WARRANTIES, AND INDEMNIFICATION

7.1 Representations and Warranties of Provider.

Provider represents and warrants to Client that:

(a) Provider is a corporation duly organized, validly existing, and in good standing under the laws of Delaware;

(b) Provider has all necessary corporate power and authority to enter into this Agreement and perform its obligations hereunder;

(c) The execution, delivery, and performance of this Agreement have been duly authorized by all necessary corporate action and do not conflict with Provider's governing documents or any agreement to which Provider is a party;

(d) Provider holds all licenses, permits, and certifications necessary to perform the Services;

(e) Provider shall perform the Services in a professional and workmanlike manner in accordance with industry standards;

(f) The System will perform substantially in accordance with Provider's documentation;

(g) Provider has implemented and maintains appropriate technical and organizational security measures to protect Employee Data as specified in Section 2.8;

- (h) Provider maintains SOC 2 Type II certification and ISO 27001 certification;
- (i) All personnel performing Services have undergone background checks and are qualified to perform their assigned duties;
- (j) Provider maintains all insurance coverage required under Article 11;
- (k) To Provider's knowledge, the Services and System do not infringe any third party's Intellectual Property Rights; and
- (l) Provider shall comply with all Applicable Laws in performing the Services.

7.2 Representations and Warranties of Client.

Client represents and warrants to Provider that:

- (a) Client is a corporation duly organized, validly existing, and in good standing under the laws of Delaware;
- (b) Client has all necessary corporate power and authority to enter into this Agreement and perform its obligations hereunder;
- (c) The execution, delivery, and performance of this Agreement have been duly authorized by all necessary corporate action and do not conflict with Client's governing documents or any agreement to which Client is a party;
- (d) Client will provide accurate and complete data and information necessary for Provider to perform the Services;
- (e) Client's employment practices and policies comply with all Applicable Laws;
- (f) Client has obtained all necessary consents and authorizations from Employees for Provider to access and process Employee Data; and
- (g) Client will maintain adequate funding in designated accounts to cover all payroll and tax obligations.

7.3 Indemnification by Provider.

Provider shall indemnify, defend, and hold harmless Client and its Affiliated Companies, and their respective officers, directors, employees, and agents (collectively, "Client Indemnitees") from and against any and all third-party claims, actions, suits, proceedings, losses, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to:

- (a) Provider's breach of its representations, warranties, or obligations under this Agreement;
- (b) Provider's negligence or willful misconduct in performing the Services;
- (c) Claims that the System or Services infringe any third party's Intellectual Property Rights;
- (d) Penalties, fines, or interest assessed against Client due to Provider's failure to properly calculate, withhold, remit, or report payroll taxes (subject to Provider's tax compliance guarantee in Section 2.1(c));
- (e) Provider's violation of Applicable Laws in performing the Services; or
- (f) Unauthorized access to or disclosure of Employee Data due to Provider's failure to implement appropriate security measures or Provider's breach of confidentiality obligations.

7.4 Indemnification by Client.

Client shall indemnify, defend, and hold harmless Provider and its Affiliated Companies, and their respective officers, directors, employees, and agents (collectively, "Provider Indemnitees") from and against any and all third-party claims, actions, suits, proceedings, losses, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to:

- (a) Client's breach of its representations, warranties, or obligations under this Agreement;
- (b) Inaccurate, incomplete, or untimely data or information provided by Client to Provider;
- (c) Client's employment decisions, policies, or practices;
- (d) Client's violation of Applicable Laws (other than violations resulting from Provider's errors in performing Services);
- (e) Employment-related claims by Employees including discrimination, harassment, wrongful termination, wage and hour violations, or other employment law claims (except to the extent caused by Provider's errors in processing payroll or benefits); or
- (f) Claims by Employees arising from Client's decisions regarding compensation, benefits, or employment terms.

7.5 Indemnification Procedures.

- (a) The party seeking indemnification ("Indemnitee") shall promptly notify the indemnifying party ("Indemnitor") in writing of any claim for which indemnification is sought;
- (b) Indemnitor shall have the right to control the defense and settlement of any indemnified claim with counsel of its choosing, provided that Indemnitor shall not settle any claim in a manner that adversely affects Indemnitee without Indemnitee's prior written consent;
- (c) Indemnitee shall reasonably cooperate with Indemnitor in the defense of any claim at Indemnitor's expense;
- (d) Indemnitee may participate in the defense with counsel of its own choosing at its own expense; and
- (e) If Indemnitor fails to assume defense of a claim within thirty (30) days of notice, Indemnitee may defend the claim at Indemnitor's expense.

7.6 DISCLAIMER OF WARRANTIES.

EXCEPT AS EXPRESSLY SET FORTH IN THIS AGREEMENT, PROVIDER MAKES NO WARRANTIES, EXPRESS OR IMPLIED, INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, OR NON-INFRINGEMENT. PROVIDER DOES NOT WARRANT THAT THE SERVICES OR SYSTEM WILL BE ERROR-FREE OR UNINTERRUPTED. THE EXPRESS WARRANTIES IN THIS AGREEMENT ARE IN LIEU OF ALL OTHER WARRANTIES.

ARTICLE 8: LIMITATION OF LIABILITY

8.1 Limitation of Consequential Damages.

EXCEPT FOR EXCLUDED CLAIMS UNDER SECTION 8.3, NEITHER PARTY SHALL BE LIABLE TO THE OTHER PARTY FOR ANY INDIRECT, INCIDENTAL, CONSEQUENTIAL, SPECIAL, EXEMPLARY, OR PUNITIVE DAMAGES, INCLUDING LOST PROFITS, LOST REVENUE, LOST DATA, OR BUSINESS INTERRUPTION, EVEN IF SUCH PARTY HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

8.2 Limitation of Liability Cap.

EXCEPT FOR EXCLUDED CLAIMS UNDER SECTION 8.3, EACH PARTY'S TOTAL AGGREGATE LIABILITY TO THE OTHER PARTY FOR ALL CLAIMS ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL NOT EXCEED AN AMOUNT EQUAL TO THE TOTAL FEES PAID BY CLIENT TO PROVIDER DURING THE TWELVE (12) MONTHS IMMEDIATELY PRECEDING THE EVENT GIVING RISE TO LIABILITY.

8.3 Excluded Claims.

The limitations in Sections 8.1 and 8.2 shall not apply to:

- (a) Either party's indemnification obligations under Article 7;
- (b) Provider's obligations to reimburse tax penalties and interest under Section 2.1(c);
- (c) Either party's breach of confidentiality obligations under Article 9;
- (d) Either party's gross negligence or willful misconduct;
- (e) Claims arising from unauthorized access to Employee Data caused by Provider's failure to implement security measures specified in Section 2.8; or
- (f) Client's payment obligations under Article 5.

8.4 Basis of the Bargain.

The parties acknowledge that the limitations of liability set forth in this Article 8 are a fundamental element of the basis of the bargain between the parties and that the fees charged reflect such limitations. The limitations shall apply notwithstanding any failure of essential purpose of any limited remedy.

ARTICLE 9: CONFIDENTIALITY

9.1 Definition of Confidential Information.

"Confidential Information" means all non-public information disclosed by one party (the "Disclosing Party") to the other party (the "Receiving Party"), whether orally, in writing, electronically, or by inspection of tangible objects, that:

- (a) Is designated as "Confidential," "Proprietary," or similar designation; or
- (b) Reasonably should be understood to be confidential given the nature of the information and the circumstances of disclosure.

Confidential Information includes, without limitation:

- For Provider: System architecture, source code, algorithms, security measures, pricing models, methodologies, business strategies
- For Client: Employee Data, business plans, financial information, customer information, strategic plans
- For Both Parties: Terms and conditions of this Agreement (except as needed for disclosure to professional advisors, insurers, or as required by law)

9.2 Exclusions from Confidential Information.

Confidential Information does not include information that:

- (a) Was publicly known at the time of disclosure or subsequently becomes publicly known through no breach of this Agreement by Receiving Party;
- (b) Was known to Receiving Party prior to disclosure by Disclosing Party without an obligation of confidentiality;
- (c) Is independently developed by Receiving Party without use of or reference to Disclosing Party's Confidential Information, as evidenced by written records;
- (d) Is rightfully received by Receiving Party from a third party without breach of any confidentiality obligation; or
- (e) Is approved for release by written authorization of Disclosing Party.

9.3 Obligations of Receiving Party.

Receiving Party shall:

- (a) Use the same degree of care to protect Confidential Information as it uses to protect its own confidential information of similar nature, but in no event less than reasonable care;
- (b) Not disclose Confidential Information to any third party except as permitted under Section 9.4;
- (c) Use Confidential Information solely for purposes of performing its obligations or exercising its rights under this Agreement;
- (d) Limit access to Confidential Information to employees, contractors, and agents who have a legitimate need to know and who have been informed of the confidential nature of such information and are bound by confidentiality obligations at least as restrictive as those in this Agreement; and
- (e) Promptly notify Disclosing Party upon discovery of any unauthorized use or disclosure of Confidential Information and cooperate with Disclosing Party in remedying such breach.

9.4 Permitted Disclosures.

Receiving Party may disclose Confidential Information:

- (a) To its professional advisors (attorneys, accountants, auditors) who are bound by professional obligations of confidentiality;
- (b) To its insurers or prospective insurers in connection with obtaining insurance coverage, provided such parties are bound by confidentiality obligations;
- (c) In connection with a proposed merger, acquisition, or sale of substantially all assets, provided the prospective acquirer executes a confidentiality agreement prior

to disclosure;

(d) To the extent required by law, court order, subpoena, or government regulation, provided that Receiving Party: (i) provides Disclosing Party with prompt written notice of such requirement (unless prohibited by law), (ii) cooperates with Disclosing Party's efforts to obtain protective orders or confidential treatment, and (iii) discloses only the minimum information required; and

(e) For Provider: Employee Data may be disclosed to Provider's subprocessors as necessary to perform the Services, provided such subprocessors are bound by confidentiality and data protection obligations at least as restrictive as those in this Agreement and the Data Processing Agreement (Schedule E).

9.5 Return or Destruction of Confidential Information.

Upon termination or expiration of this Agreement, or upon Disclosing Party's written request, Receiving Party shall:

(a) Promptly return to Disclosing Party or destroy (at Disclosing Party's option) all documents, materials, and other tangible items containing Confidential Information; and

(b) Permanently delete or destroy all electronic copies of Confidential Information in Receiving Party's possession or control, except:

- Copies retained in accordance with Section 6.6(c) (Provider's retention of Employee Data)
- Copies stored in automatic archival or backup systems, provided such copies are destroyed in accordance with Receiving Party's standard document retention policies
- Copies required to be retained by Applicable Laws

(c) Certify in writing to Disclosing Party that it has complied with this Section 9.5.

9.6 Remedies.

Receiving Party acknowledges that unauthorized disclosure or use of Confidential Information may cause irreparable harm to Disclosing Party for which monetary damages may be an inadequate remedy. Accordingly, Disclosing Party shall be entitled to seek equitable relief, including injunction and specific performance, in addition to all other remedies available at law or in equity.

ARTICLE 10: INTELLECTUAL PROPERTY

10.1 Provider's Intellectual Property.

Provider retains all right, title, and interest in and to:

(a) The System, including all software, hardware, platforms, networks, and infrastructure;

(b) Provider's methodologies, processes, techniques, and know-how used to deliver the Services;

(c) All modifications, enhancements, and derivative works of the foregoing;

(d) All pre-existing Intellectual Property Rights owned by Provider prior to this Agreement; and

(e) All Intellectual Property Rights developed independently by Provider during the term of this Agreement that are not specifically created for Client under this Agreement.

10.2 Client's Intellectual Property.

Client retains all right, title, and interest in and to:

(a) All Employee Data;

(b) Client's business information, financial information, and proprietary data;

(c) Client's trademarks, trade names, logos, and branding;

(d) All pre-existing Intellectual Property Rights owned by Client prior to this Agreement; and

(e) All Intellectual Property Rights developed independently by Client that are not specifically created by Provider under this Agreement.

10.3 License Grant to Client.

Subject to Client's compliance with this Agreement and payment of fees, Provider grants to Client a non-exclusive, non-transferable, non-sublicensable, revocable license during the term of this Agreement to:

(a) Access and use the System for Client's internal business purposes in connection with the Services;

(b) Use Provider's documentation and training materials for Client's internal training and reference purposes; and

(c) Use reports, analyses, and deliverables created by Provider specifically for Client under this Agreement for Client's internal business purposes.

This license terminates automatically upon termination or expiration of this Agreement.

10.4 License Grant to Provider.

Client grants to Provider a non-exclusive, non-transferable, royalty-free license during the term of this Agreement to:

(a) Use, process, and store Employee Data as necessary to perform the Services;

(b) Use Client's name, trademarks, and logos solely in connection with performing the Services and as reasonably necessary to identify Client as a customer in Provider's marketing materials (subject to Client's prior written approval for specific uses); and

(c) Create aggregated, anonymized, de-identified statistical data derived from Client's use of the Services for Provider's internal business purposes, including benchmarking, analytics, and service improvement, provided such data does not identify Client or any individual Employee.

10.5 Custom Developments.

If Provider creates any custom reports, integrations, configurations, or other deliverables specifically for Client under this Agreement ("Custom Developments"):

- (a) Provider retains ownership of all Intellectual Property Rights in the Custom Developments;
- (b) Client receives a perpetual, irrevocable, non-exclusive, royalty-free license to use the Custom Developments for Client's internal business purposes; and
- (c) Provider may create similar developments for other clients and incorporate concepts and techniques learned from Custom Developments into Provider's general service offerings.

10.6 Feedback.

If Client provides Provider with suggestions, comments, feedback, or ideas regarding the Services or System ("Feedback"), Client grants Provider a perpetual, irrevocable, worldwide, royalty-free license to use, modify, and incorporate such Feedback into Provider's services and offerings without any obligation to Client.

10.7 Restrictions.

Client shall not:

- (a) Reverse engineer, decompile, disassemble, or attempt to derive source code from the System;
- (b) Modify, adapt, translate, or create derivative works based on the System;
- (c) Remove or obscure any proprietary notices on the System or Provider's materials;
- (d) Rent, lease, lend, sell, sublicense, assign, distribute, or otherwise transfer rights to the System;
- (e) Use the System to provide services to third parties or in any application services provider or service bureau capacity;
- (f) Use the System in any manner that violates Applicable Laws; or
- (g) Interfere with or disrupt the integrity or performance of the System.

ARTICLE 11: INSURANCE

11.1 Required Insurance Coverage.

Provider shall maintain, at its own cost and expense, the following minimum insurance coverage during the term of this Agreement:

(a) Commercial General Liability Insurance:

- Minimum coverage: \$5,000,000 per occurrence, \$10,000,000 aggregate
- Covering bodily injury, property damage, and personal injury
- Including contractual liability coverage for Provider's indemnification obligations

(b) Professional Liability Insurance (Errors & Omissions):

- Minimum coverage: \$10,000,000 per claim, \$10,000,000 aggregate
- Covering professional services, errors, omissions, and negligent acts
- Covering claims arising from payroll processing errors, tax filing errors, and compliance failures

(c) Cyber Liability and Data Breach Insurance:

- Minimum coverage: \$25,000,000 per occurrence, \$25,000,000 aggregate
- Covering data breaches, unauthorized access, network security failures, and privacy violations
- Including coverage for notification costs, credit monitoring, legal fees, regulatory fines, and third-party damages
- Covering Employee Data in Provider's possession

(d) Workers' Compensation Insurance:

- Statutory limits as required by law in all jurisdictions where Provider has employees
- Employer's liability insurance with minimum limits of \$1,000,000 per occurrence

(e) Crime Insurance/Fidelity Bond:

- Minimum coverage: \$5,000,000
- Covering employee theft, forgery, fraud, and computer fraud

(f) Business Automobile Liability Insurance:

- Minimum coverage: \$1,000,000 combined single limit per accident
- Covering owned, hired, and non-owned vehicles (if applicable)

11.2 Insurance Requirements.

- (a) All insurance policies shall be issued by insurers with A.M. Best rating of A- VII or better;
- (b) Client shall be named as additional insured on Commercial General Liability policy;
- (c) All policies (except Workers' Compensation) shall include waiver of subrogation in favor of Client;
- (d) Professional Liability and Cyber Liability insurance shall include coverage for prior acts dating back to commencement of Services;
- (e) If any insurance is written on a claims-made basis, Provider shall maintain such coverage for at least three (3) years following termination of this Agreement or obtain extended reporting period coverage;
- (f) All policies shall provide that coverage cannot be canceled or materially changed without at least thirty (30) days prior written notice to Client; and
- (g) Provider's insurance shall be primary and non-contributory with respect to any insurance maintained by Client.

11.3 Evidence of Insurance.

- (a) Provider shall provide Client with certificates of insurance evidencing the required coverage within ten (10) Business Days of Effective Date and annually thereafter

at least thirty (30) days prior to policy renewal or expiration;

(b) Certificates shall identify this Agreement and show Client as certificate holder and additional insured;

(c) Upon Client's reasonable request, Provider shall provide complete certified copies of insurance policies; and

(d) Provider shall promptly notify Client of any cancellation, non-renewal, or material change to required insurance coverage.

11.4 No Limitation.

Provider's maintenance of insurance coverage shall not relieve Provider of its obligations or liabilities under this Agreement, nor shall insurance coverage limits limit Provider's indemnification or other obligations.

ARTICLE 12: BACKGROUND CHECKS

12.1 Background Check Requirement.

Provider shall conduct comprehensive background checks on all Provider personnel who will have access to Employee Data or Client systems, including employees, contractors, and subcontractors.

12.2 Scope of Background Checks.

Background checks shall include, at minimum:

- (a) Criminal history check (federal, state, and county records for previous seven (7) years);
- (b) Employment verification (previous two (2) employers);
- (c) Education verification (highest degree);
- (d) Social Security number verification;
- (e) Sex offender registry check;
- (f) Credit history check (for personnel with access to financial data or payment processing functions); and
- (g) Professional license verification (if applicable).

12.3 International Personnel.

For personnel located outside the United States, Provider shall conduct equivalent background checks in accordance with local laws and industry best practices in the applicable jurisdiction, which may include:

- Criminal record checks
- Identity verification
- Employment and education verification
- Credit checks where legally permissible
- Reference checks

12.4 Timing and Documentation.

- (a) Background checks must be completed and results reviewed before personnel are granted access to Employee Data or Client systems;
- (b) Background checks must be refreshed every three (3) years for existing personnel;
- (c) Provider shall maintain records of background checks in accordance with applicable laws and make such records available to Client upon reasonable request (subject to privacy laws);
- (d) Provider shall immediately revoke access for any personnel who fail background checks or whose continued access poses a security risk; and
- (e) Provider shall notify Client within 48 hours if any personnel with access to Employee Data are arrested, charged, or convicted of a crime.

12.5 Certification.

Provider shall certify in writing to Client annually that all Provider personnel with access to Employee Data have successfully completed required background checks and that no disqualifying information was discovered. Certification shall be provided within ten (10) Business Days of each anniversary of the Effective Date.

12.6 Compliance with Laws.

All background checks shall be conducted in compliance with applicable laws, including the Fair Credit Reporting Act (FCRA), state background check laws, and international data privacy laws (GDPR, etc.).

ARTICLE 13: AUDIT RIGHTS

13.1 Client's Right to Audit.

Client shall have the right, at its own expense and upon reasonable advance notice, to audit Provider's performance of the Services, compliance with this Agreement, and security controls protecting Employee Data.

13.2 Scope of Audit Rights.

(a) Financial and Operational Audits:

- Client may audit Provider's billing records, payroll processing accuracy, and Service delivery
- Audits may be conducted by Client's internal audit team or by third-party auditors engaged by Client
- Frequency: Up to two (2) times per year during regular business hours

(b) Security and Compliance Audits:

- Client may audit Provider's security controls, data protection measures, and compliance with Section 2.8 (Data Security)
- Audits may include physical inspection of facilities, review of security policies and procedures, and technical security testing
- Frequency: Up to one (1) time per year, plus additional audits if Client reasonably believes a security incident has occurred

(c) GDPR and Privacy Audits:

- Client may audit Provider's compliance with the Data Processing Agreement (Schedule E) and GDPR requirements
- Audits may include review of subprocessor agreements, data processing records, and privacy controls
- Frequency: As reasonably necessary to demonstrate compliance with privacy regulations

13.3 Audit Procedures.

(a) Client shall provide Provider with at least thirty (30) days advance written notice of any audit, specifying:

- Scope and objectives of audit
- Anticipated duration
- Personnel who will conduct audit
- Specific documents, systems, or facilities to be reviewed

(b) Provider may reasonably object to proposed audit scope or timing if it would unreasonably interfere with Provider's business operations or if Client is requesting access to information unrelated to Services provided to Client;

(c) Audits shall be conducted during Provider's normal business hours (Monday-Friday, 9:00 AM to 5:00 PM local time at Provider's facilities);

(d) Client and its auditors shall comply with Provider's reasonable security and confidentiality policies while on Provider's premises or accessing Provider's systems;

(e) If Client engages a third-party auditor, such auditor must execute a confidentiality agreement with Provider prior to audit; and

(f) Provider shall provide reasonable cooperation and access to personnel, documents, systems, and facilities necessary for audit.

13.4 Audit Reports and Remediation.

(a) Client shall provide Provider with a copy of audit findings within thirty (30) days of audit completion;

(b) If audit identifies any deficiencies or non-compliance with this Agreement, Provider shall:

- Respond in writing to audit findings within fifteen (15) Business Days
- Prepare remediation plan with specific actions and timeline
- Implement remediation plan within timeframe agreed by parties (typically 30-90 days depending on severity)
- Provide Client with evidence of remediation completion

(c) If audit reveals Provider has overcharged Client, Provider shall refund the overcharged amount plus interest at the rate specified in Section 5.3(c) within thirty (30) days;

(d) If audit reveals Client has been undercharged, Client shall pay the undercharged amount within thirty (30) days of receiving notice.

13.5 Critical Deficiencies.

If an audit reveals critical security deficiencies that pose imminent risk to Employee Data, Client may:

- (a)** Require immediate corrective action within timeframe specified by Client (typically 24-72 hours);
- (b)** Conduct follow-up audit at Provider's expense to verify remediation; or
- (c)** Terminate this Agreement immediately if Provider fails to remediate critical deficiencies within required timeframe.

Critical deficiencies include:

- Unauthorized access to Employee Data
- Unencrypted Employee Data in violation of Section 2.8(b)
- Failure to maintain SOC 2 certification
- Material violations of security policies
- Backdoors or unauthorized software on systems processing Employee Data

13.6 Costs.

(a) Client shall bear costs of routine audits (up to the permitted frequency specified in Section 13.2);

(b) Provider shall bear costs of audits that reveal material non-compliance or overcharges exceeding 3% of fees paid during audited period;

(c) Provider shall bear costs of follow-up audits required to verify remediation of critical deficiencies; and

(d) Each party shall bear its own personnel costs for audit participation.

13.7 Regulatory Audits.

Provider shall reasonably cooperate with any regulatory audits or examinations of Client by government agencies, including:

- Department of Labor (DOL) audits
- IRS audits of payroll tax compliance
- State tax authority audits
- GDPR supervisory authority investigations
- Industry regulatory examinations

Provider shall respond to Client's reasonable requests for documentation and information within timeframes specified by Client (or regulatory authority). Provider shall not charge for reasonable cooperation with regulatory audits (up to 20 hours per year), but may charge at standard hourly rates for extensive audit support exceeding 20 hours per year.

ARTICLE 14: SUBCONTRACTORS

14.1 Use of Subcontractors.

- (a) Provider may engage subcontractors to perform portions of the Services, subject to the requirements of this Article 14;
- (b) Provider shall remain fully responsible for all Services performed by subcontractors as if performed by Provider directly;
- (c) Provider shall ensure all subcontractors comply with the terms and conditions of this Agreement; and
- (d) Provider shall include in all subcontractor agreements provisions protecting Client's interests, including confidentiality, security, data protection, and indemnification obligations.

14.2 Approved Subcontractors.

Provider has identified the following subcontractors as of the Effective Date:

(a) Data Center Services:

- Amazon Web Services (AWS) - Cloud infrastructure and hosting (US, Canada, UK, Germany, India, Australia regions)
- Microsoft Azure - Disaster recovery and backup services

(b) Benefits Carrier Integration:

- DaVinci Payments - Payment processing for benefits premiums
- BenefitExpress Network - Electronic data interchange (EDI) with insurance carriers

(c) Background Check Services:

- HireRight LLC - Employment background checks (US)
- GlobalVerify Limited - International background checks

(d) Tax Filing Services:

- TaxWire Express - Electronic tax filing services
- HMRC Bridge Services Ltd - UK RTI submissions

(e) Payment Processing:

- JPMorgan Chase Bank, N.A. - ACH processing and wire transfers (US)
- HSBC Bank plc - BACS and SEPA payment processing (UK and EU)

14.3 New Subcontractors.

(a) If Provider wishes to engage a new subcontractor for processing Employee Data or performing material components of the Services, Provider shall provide Client with at least thirty (30) days advance written notice including:

- Name and location of proposed subcontractor
- Description of services to be performed
- Security and privacy certifications held by subcontractor
- Explanation of why subcontractor is necessary

(b) Client may object to proposed subcontractor within thirty (30) days of notice if Client has reasonable grounds relating to:

- Security or privacy concerns
- Potential conflicts of interest
- Lack of adequate certifications or qualifications
- Location/jurisdiction concerns (data sovereignty requirements)

(c) If Client objects, parties shall meet to discuss concerns and identify alternatives;

(d) If parties cannot reach agreement within thirty (30) days, Client may terminate this Agreement without penalty upon sixty (60) days written notice; and

(e) Provider shall not engage objected subcontractor unless and until Client's concerns are resolved or Client withdraws objection.

14.4 Subcontractor Requirements.

Provider shall ensure that all subcontractors:

- (a) Execute written agreements containing confidentiality, security, and data protection obligations at least as restrictive as those in this Agreement;
- (b) Maintain appropriate security certifications (SOC 2, ISO 27001, or equivalent);
- (c) Undergo annual security assessments;
- (d) Comply with all Applicable Laws, including GDPR and other data privacy regulations;
- (e) Maintain insurance coverage appropriate for their role; and
- (f) Submit to audit by Client in accordance with Article 13.

14.5 Subprocessor List.

Provider shall maintain and make available to Client an up-to-date list of all subcontractors ("subprocessors") that process Employee Data, including:

- Name and location
- Services performed
- Date engaged
- Security certifications

Provider shall update this list within thirty (30) days of any changes and make updated list available to Client via Provider's customer portal.

ARTICLE 15: DISPUTE RESOLUTION

15.1 Negotiation.

In the event of any dispute, controversy, or claim arising out of or relating to this Agreement or the breach thereof (a "Dispute"), the parties shall first attempt to resolve the Dispute through good faith negotiations between executives of each party with authority to resolve the Dispute. Either party may initiate negotiations by providing written notice of the Dispute to the other party. Within ten (10) Business Days of such notice, executives from each party shall meet (in person or by videoconference) to attempt resolution.

15.2 Mediation.

If the parties are unable to resolve the Dispute through negotiations within thirty (30) days of the initial notice, either party may submit the Dispute to non-binding mediation administered by the American Arbitration Association (AAA) in accordance with its Commercial Mediation Procedures. Mediation shall take place in San Francisco, California. Each party shall bear its own costs of mediation, and the parties shall split equally the fees of the mediator and AAA.

15.3 Arbitration.

If the Dispute is not resolved through mediation within sixty (60) days of initiation of mediation (or if either party refuses to participate in mediation), the Dispute shall be resolved by binding arbitration administered by JAMS in accordance with its Comprehensive Arbitration Rules and Procedures.

(a) Arbitration Rules:

- One (1) arbitrator selected in accordance with JAMS rules
- Arbitration shall take place in San Francisco, California
- Arbitrator shall have at least ten (10) years of experience in commercial disputes involving technology services or employment services
- Discovery shall be permitted as follows: each party may take up to five (5) depositions, submit up to twenty-five (25) written interrogatories, and request production of documents reasonably related to the Dispute
- Arbitrator shall issue a written decision with findings of fact and conclusions of law
- Decision of the arbitrator shall be final and binding and may be entered as a judgment in any court of competent jurisdiction

(b) Costs:

- Each party shall bear its own attorneys' fees and costs unless arbitrator awards fees to prevailing party
- Parties shall split equally the fees of the arbitrator and JAMS administrative fees

(c) Confidentiality:

- All arbitration proceedings, evidence, and decisions shall be confidential
- Parties may not disclose existence or results of arbitration except as required by law or to enforce arbitration award

15.4 Exceptions.

Notwithstanding Sections 15.1-15.3, either party may seek equitable relief (injunction, specific performance) in a court of competent jurisdiction for:

- (a) Breach of confidentiality obligations (Article 9);
- (b) Infringement of Intellectual Property Rights (Article 10);
- (c) Unauthorized use of or access to the System;
- (d) Emergency situations requiring immediate relief to prevent irreparable harm; or
- (e) Collection of undisputed amounts owed.

15.5 Continuity of Service.

Except as otherwise provided in this Agreement, during any Dispute, the parties shall continue to perform their respective obligations under this Agreement. Provider shall continue to provide Services, and Client shall continue to pay undisputed fees.

15.6 Governing Law.

This Agreement shall be governed by and construed in accordance with the laws of the State of California, without regard to its conflicts of law principles. The United Nations Convention on Contracts for the International Sale of Goods shall not apply.

15.7 Jurisdiction and Venue.

To the extent that court proceedings are permitted under this Article 15, the parties consent to the exclusive jurisdiction and venue of the state and federal courts located in San Francisco County, California.

ARTICLE 16: GENERAL PROVISIONS

16.1 Force Majeure.

Neither party shall be liable for any failure or delay in performance under this Agreement (except for payment obligations) due to causes beyond its reasonable control, including acts of God, natural disasters, war, terrorism, riots, epidemics, pandemics, government orders, labor disputes, or failures of third-party telecommunications or power providers (each, a "Force Majeure Event"). The party affected by a Force Majeure Event shall:

- (a) Promptly notify the other party of the Force Majeure Event;
- (b) Use commercially reasonable efforts to mitigate the impact and resume performance;
- (c) Provide regular updates on status and expected resumption of performance; and
- (d) Resume performance as soon as reasonably practicable.

If a Force Majeure Event continues for more than thirty (30) consecutive days, the party not affected may terminate this Agreement upon written notice without penalty.

16.2 Assignment.

- (a) Neither party may assign this Agreement or any rights or obligations hereunder without the prior written consent of the other party, not to be unreasonably withheld;
- (b) Notwithstanding Section 16.2(a), either party may assign this Agreement without consent in connection with a merger, acquisition, corporate reorganization, or sale of all or substantially all of its assets, provided the assignee agrees in writing to assume all obligations under this Agreement;
- (c) Provider may not assign this Agreement to a direct competitor of Client without Client's prior written consent;
- (d) Any attempted assignment in violation of this Section shall be void; and
- (e) This Agreement shall be binding upon and inure to the benefit of the parties and their permitted successors and assigns.

16.3 Amendment and Waiver.

- (a) This Agreement may not be amended or modified except by a written instrument signed by authorized representatives of both parties;
- (b) No waiver of any provision of this Agreement shall be effective unless in writing and signed by the party against whom the waiver is to be enforced;
- (c) No waiver of any breach or default shall constitute a waiver of any other breach or default; and
- (d) Failure to enforce any provision of this Agreement shall not constitute a waiver of that provision or any other provision.

16.4 Notices.

All notices required or permitted under this Agreement shall be in writing and shall be deemed given when:

- (a) Personally delivered;
- (b) Sent by confirmed facsimile or email (with confirmation of transmission);
- (c) Delivered by a nationally recognized overnight courier service; or
- (d) Mailed by certified or registered mail, return receipt requested, postage prepaid.

Notices shall be sent to the addresses below or to such other addresses as either party may specify by notice:

If to Client: TechVista Corporation 2400 Sand Hill Road, Suite 300 Menlo Park, California 94025 Attention: Chief Financial Officer Email: legal@techvista.com

If to Provider: GlobalHR Solutions Inc. 1550 Peachtree Street NE, Tower Two Atlanta, Georgia 30309 Attention: General Counsel Email: contracts@globalhr.com

16.5 Entire Agreement.

This Agreement, including all Schedules attached hereto, constitutes the entire agreement between the parties concerning the subject matter hereof and supersedes all prior and contemporaneous agreements, proposals, and communications, whether oral or written. In the event of any conflict between this Agreement and any Schedule, this Agreement shall control unless the Schedule expressly states that it supersedes a specific provision of the Agreement.

16.6 Severability.

If any provision of this Agreement is held to be invalid, illegal, or unenforceable, the remaining provisions shall continue in full force and effect. The parties shall negotiate in good faith to replace any invalid provision with a valid provision that most closely approximates the intent and economic effect of the invalid provision.

16.7 Independent Contractors.

The parties are independent contractors. Nothing in this Agreement shall be construed to create a partnership, joint venture, agency, or employment relationship. Neither party has authority to bind the other party or incur obligations on behalf of the other party.

16.8 Publicity.

- (a) Neither party shall issue any press release or public announcement concerning this Agreement or the relationship between the parties without the prior written consent of the other party;
- (b) Provider may identify Client as a customer in Provider's customer lists and marketing materials (e.g., "TechVista Corporation") with Client's consent;
- (c) Any use of Client's trademarks, logos, or more detailed case studies requires Client's prior written approval; and
- (d) Client may not use Provider's trademarks or logos without Provider's prior written approval.

16.9 Counterparts.

This Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Electronic signatures and PDF signatures shall have the same force and effect as original signatures.

16.10 Third-Party Beneficiaries.

This Agreement is for the sole benefit of the parties hereto and their permitted successors and assigns. Nothing in this Agreement shall create any third-party beneficiary rights except for the rights of Client Indemnitees and Provider Indemnitees under Article 7.

16.11 Survival.

Provisions of this Agreement that by their nature should survive termination or expiration shall survive, including: Article 7 (Representations, Warranties, and Indemnification), Article 8 (Limitation of Liability), Article 9 (Confidentiality), Article 10 (Intellectual Property), Article 15 (Dispute Resolution), and relevant portions of Article 6 (Effect of Termination).

16.12 Construction.

- (a) The headings in this Agreement are for convenience only and shall not affect the interpretation of this Agreement;
- (b) Unless the context requires otherwise, words in the singular include the plural and words in the plural include the singular;
- (c) The terms "include," "includes," and "including" shall be deemed to be followed by "without limitation";
- (d) References to "Articles," "Sections," and "Schedules" refer to Articles, Sections, and Schedules of this Agreement;

- (e) The term "or" is not exclusive;
- (f) The parties have participated jointly in negotiating this Agreement, and any rule of construction to the effect that ambiguities are to be resolved against the drafting party shall not apply; and
- (g) The term "Business Day" means Monday through Friday, excluding federal holidays in the United States.

SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

TECHVISTA CORPORATION

By: _____

Name: Michael T. Richardson

Title: Chief Financial Officer

Date: _____

GLOBALHR SOLUTIONS INC.

By: _____

Name: Patricia L. Hamilton

Title: President and Chief Executive Officer

Date: _____

SCHEDULES

SCHEDULE A: DEFINITIONS AND ABBREVIATIONS

(Incorporated into Article 1)

SCHEDULE B: SERVICE LEVEL AGREEMENTS

B.1 Payroll Accuracy SLA

Target: 99.95% accuracy rate per pay period

Measurement: Calculated as: (Total Employee Payments - Errors) / Total Employee Payments × 100%

Error Definition: Any of the following constitutes an error:

- Incorrect gross wages
- Incorrect net pay exceeding \$10.00
- Incorrect tax withholding exceeding \$5.00
- Incorrect deductions exceeding \$5.00
- Missed payments
- Duplicate payments

Service Level Credits:

- 99.90% - 99.94%: 5% of monthly fees
- 99.80% - 99.89%: 10% of monthly fees
- 99.50% - 99.79%: 15% of monthly fees
- Below 99.50%: 25% of monthly fees

B.2 Critical Error Correction SLA

Error Amount > \$500:

- **Target:** Correction and payment same Business Day if discovered before 2:00 PM ET, or by 12:00 PM ET next Business Day if discovered after 2:00 PM ET
- **Service Level Credit:** \$1,000 per occurrence if target missed

Error Amount \$100-\$500:

- **Target:** Correction and payment within 1 Business Day
- **Service Level Credit:** \$500 per occurrence if target missed

Error Amount < \$100:

- **Target:** Correction with next regular payroll or within 5 Business Days
- **Service Level Credit:** \$250 per occurrence if target missed

B.3 Tax Filing Compliance SLA

Target: 100% on-time filing of all payroll tax returns and remittances

Measurement: Percentage of tax filings submitted by required deadline

Service Level Credits:

- One late filing in a quarter: 10% of monthly fees
- Two late filings in a quarter: 20% of monthly fees
- Three or more late filings in a quarter: 30% of monthly fees

Additional Remedy: Provider shall reimburse Client for all penalties and interest charges assessed by tax authorities due to Provider's late filing, as specified in Section 2.1(c).

B.4 Employee Self-Service Portal Uptime SLA

Target: 99.5% uptime per calendar month (excluding scheduled maintenance)

Measurement: (Total Minutes in Month - Downtime Minutes) / Total Minutes in Month × 100%

Exclusions:

- Scheduled maintenance windows (Saturday 11:00 PM to Sunday 5:00 AM ET)
- Force majeure events
- Downtime caused by Client's internet service provider or Client's systems
- Downtime caused by Client's actions or misconfigurations

Service Level Credits:

- 99.0% - 99.4%: 5% of monthly fees
- 98.0% - 98.9%: 10% of monthly fees
- 97.0% - 97.9%: 15% of monthly fees
- Below 97.0%: 25% of monthly fees

B.5 System Response Time SLA

Target: Average response time < 2 seconds for 95% of user transactions during business hours (7:00 AM - 7:00 PM ET)

Measurement: Time from user transaction initiation to system response display, measured by Provider's monitoring tools

Business Hours: Monday-Friday, 7:00 AM to 7:00 PM Eastern Time

Service Level Credits:

- 90% - 94% of transactions under 2 seconds: 5% of monthly fees
- 85% - 89% of transactions under 2 seconds: 10% of monthly fees
- Below 85% of transactions under 2 seconds: 15% of monthly fees

B.6 Support Response Time SLA

Priority Levels:

Critical Issues:

- **Definition:** Issues preventing payroll processing, causing incorrect payments > \$500, causing material tax compliance breaches, or resulting in unauthorized data access
- **Response Target:** 30 minutes, 24/7/365
- **Resolution Target:** 4 hours for workaround, 24 hours for permanent fix
- **Service Level Credit:** \$2,500 per occurrence if response target missed; \$5,000 if resolution target missed

High Priority Issues:

- **Definition:** Issues significantly impacting business operations but not preventing critical functions, including system errors affecting > 25 users, benefits enrollment problems during open enrollment, or integration failures
- **Response Target:** 2 hours during support hours
- **Resolution Target:** 8 business hours
- **Service Level Credit:** \$1,000 per occurrence if response target missed; \$2,000 if resolution target missed

Medium Priority Issues:

- **Definition:** Issues with moderate business impact, including system errors affecting < 25 users, reporting problems, or non-critical functionality failures
- **Response Target:** 4 hours during support hours
- **Resolution Target:** 3 Business Days
- **Service Level Credit:** \$500 per occurrence if response target missed; \$1,000 if resolution target missed

Low Priority Issues:

- **Definition:** Minor issues, general questions, enhancement requests, or cosmetic problems
- **Response Target:** 1 Business Day
- **Resolution Target:** 10 Business Days
- **Service Level Credit:** No credit (best efforts)

Support Hours:

- Critical Issues: 24/7/365 via toll-free phone (1-800-555-GHRS) and email (critical@globalhr.com)
- All Other Issues: Monday-Friday, 7:00 AM to 7:00 PM ET via phone, email (support@globalhr.com), and support portal

B.7 Benefits Enrollment Processing SLA

Target: Process benefits enrollments and life event changes within 2 Business Days of submission

Measurement: Time from Client approval of enrollment change to transmission to carrier

Service Level Credits:

- 3-4 Business Days: 5% of monthly benefits administration fees
- 5-7 Business Days: 10% of monthly benefits administration fees
- Over 7 Business Days: 20% of monthly benefits administration fees

B.8 Implementation Milestone SLA

Milestones and Target Dates (from Effective Date):

Milestone	Target	Credit if Missed
Project kickoff meeting	Week 1	\$5,000
System configuration complete	Week 6	\$10,000
Data migration complete	Week 8	\$15,000
Integration testing complete	Week 10	\$10,000
Dual-run begins	Week 12	\$20,000
Training complete	Week 22	\$10,000
Go-live	Week 24	\$25,000

Maximum Total Implementation Credits: \$50,000

Exclusions: Delays caused by Client's failure to provide timely data, resources, or approvals do not trigger credits. Implementation timeline may be extended by mutual written agreement without penalty.

B.9 Reporting and Credit Process

Monthly Performance Reports:

- Provider shall deliver performance reports by the 10th Business Day of each month covering prior month's performance
- Reports shall include actual performance vs. targets for all SLA metrics
- Reports shall calculate any applicable service level credits

Credit Request Process:

1. Client reviews monthly performance report
2. Client submits written credit request within 30 days of report receipt if Client disputes calculations
3. Provider responds within 10 Business Days
4. If agreement reached, credits applied to next invoice
5. If dispute remains, escalated per Article 15

Automatic Credits:

- Credits for missed Critical Error Correction and Support Response Time SLAs are automatic and do not require Client request
- All other credits require Client request based on monthly performance report

SCHEDULE C: FEE SCHEDULE

C.1 Per-Employee-Per-Month (PEPM) Recurring Fees

United States Employees

Tier	Employee Count	PEPM Rate
1	1 - 1,000	\$42.00
2	1,001 - 2,500	\$38.00

3 Tier	2,501 - 5,000 Employee Count	\$35.00 PEPM Rate
4	5,001 - 7,500	\$32.00
5	7,501+	\$29.00

Estimated Initial Count: 6,200 employees (Tier 4) **Estimated Initial Monthly Fee:** \$198,400

Canada Employees

Tier	Employee Count	PEPM Rate (USD)	PEPM Rate (CAD)
1	1 - 250	\$48.00	\$66.00
2	251 - 500	\$44.00	\$60.50
3	501+	\$40.00	\$55.00

Estimated Initial Count: 450 employees (Tier 2) **Estimated Initial Monthly Fee:** \$19,800 USD

United Kingdom Employees

Tier	Employee Count	PEPM Rate (USD)	PEPM Rate (GBP)
1	1 - 250	\$46.00	£36.00
2	251 - 500	\$42.00	£33.00
3	501+	\$38.00	£30.00

Estimated Initial Count: 520 employees (Tier 3) **Estimated Initial Monthly Fee:** \$19,760 USD

Germany Employees

Tier	Employee Count	PEPM Rate (USD)	PEPM Rate (EUR)
1	1 - 250	\$52.00	€48.00
2	251 - 500	\$48.00	€44.00
3	501+	\$44.00	€40.00

Estimated Initial Count: 380 employees (Tier 2) **Estimated Initial Monthly Fee:** \$18,240 USD

India Employees

Tier	Employee Count	PEPM Rate (USD)	PEPM Rate (INR)
1	1 - 500	\$28.00	₹2,350
2	501 - 1,000	\$25.00	₹2,100
3	1,001+	\$22.00	₹1,850

Estimated Initial Count: 750 employees (Tier 2) **Estimated Initial Monthly Fee:** \$18,750 USD

Australia Employees

Tier	Employee Count	PEPM Rate (USD)	PEPM Rate (AUD)
1	1 - 250	\$50.00	\$76.00

2	251 - 500	\$46.00	\$70.00
Tier	Employee	PEPM Rate	PEPM Rate
3	Count	(USD)	(AUD)
	501+	\$42.00	\$64.00

Estimated Initial Count: 200 employees (Tier 1) **Estimated Initial Monthly Fee:** \$10,000 USD

Total Estimated Initial Monthly Recurring Fee: \$284,950 USD

Note on Tiering: Employee count and applicable tier determined separately for each country as of the first day of each month. Tiering based on active employee count in that specific country.

C.2 Implementation Fees

Total One-Time Implementation Fee: \$185,000

Payment Schedule:

- Payment 1 (33.3%): \$62,000 due within 10 Business Days of Effective Date
- Payment 2 (33.3%): \$62,000 due upon completion of system configuration and data migration (estimated Week 6)
- Payment 3 (33.4%): \$61,000 due upon successful go-live (estimated Week 24)

Implementation Fee Includes:

- Project management
- System configuration for all Covered Countries
- Data migration (up to 3 test loads)
- 12-week dual-run period
- Standard integrations setup
- Training for up to 50 HR staff
- 2 weeks on-site go-live support
- Up to 25 custom reports

C.3 Additional Service Fees

Payroll Processing

Service	Fee
Off-cycle payroll (US)	\$500 per run
Off-cycle payroll (international)	\$750 per run
Expedited new hire setup (< 5 days notice)	\$75 per employee
Rush termination/final check (same day)	\$150 per employee
Manual check processing	\$15 per check
Returned payment processing (ACH/NSF)	\$25 per occurrence
Stop payment processing	\$50 per occurrence
Payroll reversal/void	\$100 per occurrence

Reporting and Data Services

Service	Fee
Custom report development	\$200/hour (max \$5,000 per report)
Additional custom reports (beyond 25/year included)	\$2,000 per report
Historical payroll research (pre-migration)	\$150/hour
Ad-hoc data extracts	\$250 per extract
Custom file format development	\$200/hour

Training and Support

Service	Fee
Additional on-site training	\$2,500 per day + travel expenses
Additional virtual training	\$1,500 per day
Refresher training sessions	\$1,000 per session
Conference attendance (Provider representative)	Actual costs + \$1,500/day

Compliance and Audit Support

Service	Fee
Audit support (beyond 10 hours/year included)	\$200/hour
Regulatory inquiry response	\$200/hour
Custom compliance reporting	\$200/hour
Policy review and consultation	\$250/hour

Implementation and Integration

Service	Fee
Additional data migration	\$250/hour
Custom integration development	\$200/hour
Integration troubleshooting (post-implementation)	\$200/hour
Additional parallel testing cycles	\$5,000 per pay cycle
Extended go-live support (beyond 2 weeks)	\$2,000/day on-site, \$1,000/day remote

Year-End Processing

Service	Fee
Paper W-2/tax form mailing	\$5 per form
Corrected W-2/tax form (W-2c)	\$25 per form
Rush year-end processing	\$5,000

Benefits Administration

Service	Fee
Additional carrier integration (beyond standard carriers)	\$2,000 per carrier + \$200/month maintenance
Benefits plan design consultation	\$250/hour
Open enrollment microsite customization	\$3,000
Benefits communication materials	\$150/hour design time

Data and Security

Service	Fee
Additional background checks (beyond standard scope)	Actual cost + \$50 administration fee
Additional security audit (beyond 1/year included)	\$5,000 per audit
Forensic investigation (security incident)	\$300/hour
Data breach response services	\$300/hour

C.4 Travel and Expenses

When on-site services are required (implementation, training, go-live support, etc.), Client shall reimburse Provider for reasonable travel expenses including:

- Airfare (economy class)
- Hotel accommodations (standard business hotel)
- Ground transportation
- Meals (up to \$75/day per person)

Provider shall obtain Client's pre-approval for any single expense exceeding \$500.

C.5 Currency and Exchange Rates

Invoicing Currency: All invoices issued in US Dollars (USD).

Exchange Rates: For fees listed in foreign currencies (CAD, GBP, EUR, INR, AUD), exchange rates are indicative only and provided for Client's reference. Client shall be invoiced in USD using PEPM rates listed in USD column.

Foreign Currency Payments: If Client elects to pay in foreign currency (subject to mutual agreement), exchange rate shall be the Bloomberg mid-market rate as of invoice date.

C.6 Annual Fee Adjustments

Effective Date: Each anniversary of Effective Date (January 15)

Maximum Increase: CPI-U percentage change (December to December) + 2.0%

Notice Requirement: 90 days advance written notice

First Year: No increase permitted in first 12 months (fees frozen through January 14, 2027)

Example Calculation:

- CPI-U December 2025 to December 2026: 3.2%
- Maximum allowed increase: 3.2% + 2.0% = 5.2%
- If US Tier 4 rate is \$32.00 in Year 1
- Maximum Year 2 rate: $\$32.00 \times 1.052 = \33.66

C.7 Volume Discounts

If Client's total employee count across all Covered Countries exceeds the following thresholds, Client shall receive an additional discount applied to all PEPM fees:

Total Employee Count	Additional Discount
10,000 - 14,999	2%
15,000 - 19,999	3%
20,000+	5%

Discount applied retroactively to the month in which threshold is crossed.

C.8 Payment Terms

Recurring Fees: Invoiced monthly in advance, due within 30 days

Additional Services: Invoiced monthly in arrears, due within 30 days

Late Payment Interest: 1.5% per month (18% annually) on undisputed amounts

Payment Methods:

- ACH transfer (preferred)

- Wire transfer
- Check (by prior arrangement only)

Banking Information: Provider's bank details provided on invoice. Client may authorize automatic ACH debit.

SCHEDULE D: IMPLEMENTATION PLAN

D.1 Implementation Overview

Total Implementation Duration: 24 weeks (approximately 6 months)

Implementation Approach: Phased implementation with 12-week dual-run period

Go-Live Date: Target date of July 15, 2026 (Week 24)

Project Governance:

- Weekly status meetings during implementation
- Bi-weekly steering committee meetings with executive sponsors
- Daily standups during dual-run and go-live periods

D.2 Implementation Team

Provider Implementation Team

Project Manager: Jessica Chen, PMP

- Role: Overall project management, timeline management, risk management
- Availability: Dedicated full-time to Client implementation

Implementation Consultants:

- **Lead HRIS Consultant:** David Kumar (US/Canada/India configuration)
- **EMEA Consultant:** Emma Thompson (UK/Germany configuration)
- **APAC Consultant:** Liam Zhang (Australia configuration)
- **Payroll Configuration Lead:** Maria Garcia
- **Benefits Configuration Lead:** James Wilson
- **Integration Specialist:** Raj Patel
- **Training Lead:** Sophie Martin
- **Data Migration Lead:** Thomas Anderson

Technical Team:

- Database Administrator
- Network/Security Engineer
- API Integration Developer

Subject Matter Experts (on-call):

- Multi-country compliance specialists
- Tax specialists by jurisdiction
- Benefits administration specialists

Client Implementation Team (Required)

Executive Sponsor: Chief Financial Officer or Chief Human Resources Officer

Project Manager: Client-designated project manager (dedicated 50% during implementation)

Core Team Members:

- **Payroll Lead:** Responsible for payroll processes, validation, approvals
- **HRIS Lead:** Responsible for employee data, system configuration
- **Benefits Lead:** Responsible for benefits administration, carrier coordination
- **IT Lead:** Responsible for integrations, security, infrastructure
- **Compliance Lead:** Responsible for regulatory requirements, policies

Additional Resources:

- Country/regional HR representatives (US, Canada, UK, Germany, India, Australia)
- Accounting/Finance representatives
- System administrators (2-3 people)
- Testing team (5-8 people for UAT)

Time Commitment:

- Core team: 20-30 hours/week during Weeks 1-11
- Core team: 40+ hours/week during Weeks 12-24 (dual-run and go-live)
- Executive sponsor: 2-4 hours/week for steering committee

D.3 Phase 1: Project Initiation (Weeks 1-2)

Week 1:

- Kickoff meeting (Day 2-3)
 - Project overview and objectives
 - Team introductions
 - Roles and responsibilities
 - Communication plan
 - Escalation procedures
- Environment setup
 - Client test environment provisioned
 - VPN and secure access configured
 - Project collaboration tools deployed (Slack channel, SharePoint site)
- Documentation gathering
 - Current payroll calendars
 - Pay policies by country and employee group
 - Benefits plan documents
 - Existing system documentation
 - Organizational charts and reporting structures

Week 2:

- Requirements workshops
 - Payroll requirements by country (3 sessions)
 - Benefits requirements (2 sessions)
 - Time and attendance requirements (1 session)
 - Reporting requirements (1 session)
 - Integration requirements (1 session)
- Data assessment
 - Legacy system data review
 - Data quality analysis
 - Data mapping documentation
 - Identification of data cleansing needs
- Project plan finalization
 - Detailed project schedule with milestones
 - Resource allocation plan
 - Risk register
 - Communication plan

Deliverables:

- Signed project charter
- Detailed project plan
- Requirements documentation
- Data migration strategy
- Communication plan

D.4 Phase 2: System Configuration (Weeks 3-8)

Weeks 3-4: Core System Setup

- Organizational structure configuration
 - Companies, divisions, departments, locations
 - Cost centers and GL account mapping
 - Position management and job codes
- Employee record templates
 - Data fields by country and employee type
 - Required vs. optional fields
 - Field validation rules
- Security configuration
 - User roles and permissions
 - Access control policies
 - Multi-factor authentication setup
 - Audit logging configuration

Weeks 5-6: Payroll Configuration

- Pay groups and calendars
 - Pay frequencies by country/group
 - Pay periods for 2026-2027
 - Holiday calendars by location
- Earnings and deduction codes
 - Regular earnings, overtime, bonuses, commissions
 - Pre-tax and post-tax deductions
 - Employer-paid items
 - Country-specific earnings types
- Tax setup
 - Federal, state, provincial, local tax jurisdictions
 - Tax calculation rules
 - Tax deposit schedules
 - Tax filing requirements
- Garnishment setup
 - Garnishment types and priority rules
 - Maximum withholding calculations
 - Remittance configurations
- Payment methods
 - Direct deposit file formats
 - ACH/EFT configurations

- Payroll card setup (if applicable)
- Check stock configuration

Weeks 6-7: Benefits Configuration

- Health and welfare plans
 - Medical, dental, vision plan setup
 - Life and disability insurance
 - FSA and HSA plans
 - Employee and employer contribution rules
 - Eligibility rules and waiting periods
 - Dependent coverage rules
- Retirement plans
 - 401(k) plan setup
 - Deferral percentages and limits
 - Match formulas and vesting schedules
 - Loan and distribution rules
- Carrier integrations
 - EDI file formats (834, etc.)
 - Carrier connections and testing
 - Premium billing setup
- Enrollment workflows
 - New hire enrollment process
 - Annual open enrollment
 - Qualifying life events
 - COBRA administration

Week 7-8: Additional Configuration

- Time and attendance
 - Work schedules and shift patterns
 - Overtime calculation rules
 - Break policies and compliance
 - Time off accrual policies
 - Approval workflows
- Workflow and approvals
 - Payroll approval workflows
 - Time entry approval workflows
 - Personnel change approvals
 - Document approval routing
- Notifications and alerts
 - Email templates
 - Notification triggers and recipients
 - Alert thresholds
- Reporting setup
 - Standard report library activation
 - Custom report requirements gathering
 - Dashboard configuration

Deliverables:

- Configured test environment
- Configuration documentation
- Payroll calculation specifications
- Benefits plan documentation
- Workflow documentation

D.5 Phase 3: Integration Development (Weeks 7-10)

(Overlaps with configuration phase)

Weeks 7-8: Integration Design

- Integration architecture review
- API endpoint documentation
- Data mapping specifications
- Security and authentication setup
- Error handling and logging design

Key Integrations:

1. Accounting System (Oracle NetSuite)

- Payroll journal entries
- GL account mapping
- Cost allocation by department
- Frequency: After each payroll

2. Benefits Carriers

- Eligibility file exports (834 EDI)
- Premium reconciliation imports
- Frequency: Weekly or per carrier schedule

3. 401(k) Recordkeeper (Fidelity)

- Contribution file export
- Loan repayment data
- Census updates

- Frequency: Per pay period

4. Time and Attendance (existing Client system, if applicable)

- Time punch import
- PTO balance synchronization
- Frequency: Daily

5. Single Sign-On (Okta)

- SAML 2.0 integration
- User provisioning/deprovisioning
- Real-time synchronization

6. Expense Management (Concur)

- Expense reimbursement import to payroll
- Frequency: Per pay period

Weeks 9-10: Integration Development and Testing

- API development and configuration
- File format mapping and transformation
- Connection testing
- End-to-end integration testing
- Error scenario testing
- Performance testing
- Security testing

Deliverables:

- Integration design documentation
- API documentation
- Integration test results
- Data mapping specifications
- Error handling procedures

D.6 Phase 4: Data Migration (Weeks 8-10)

(Overlaps with configuration and integration phases)

Week 8: Data Extract and Cleansing

- Extract employee data from legacy systems
- Data quality review
- Data cleansing and standardization
 - Address formatting
 - Date format standardization
 - SSN/tax ID validation
 - Duplicate detection and resolution
- Data mapping to new system format

Week 9: Test Data Load #1

- Load employee master data
- Load organizational hierarchy
- Load compensation data
- Load benefits enrollment data
- Load YTD payroll history
- Load tax withholding data
- Data validation and reconciliation
- Issue identification and resolution

Week 10: Test Data Load #2 and #3

- Incorporate data corrections
- Load updated/incremental data
- Validate historical data accuracy
- Reconcile YTD totals
- Validate tax calculations
- Test reporting on migrated data
- Final data quality review

Data Migration Scope:

- **Employee Master Data:** ~8,500 employee records
- **Organizational Data:** ~150 departments, ~25 locations
- **YTD Payroll History:** January 1, 2026 through migration date (estimated 10-14 pay periods)
- **Benefits Elections:** Active enrollments as of migration date
- **PTO Balances:** Current accrual balances by leave type
- **Historical Compensation:** Prior 2 years for reporting purposes
- **Tax Data:** W-4/withholding elections, year-to-date tax amounts

Deliverables:

- Data migration plan
- Data mapping documentation
- Cleansed source data files
- Migration validation reports
- Data reconciliation documentation

D.7 Phase 5: Testing (Weeks 11-14)

Week 11: System Testing

- Functional testing by Provider
 - Payroll calculations
 - Tax calculations
 - Deduction processing
 - Benefits premium calculations
 - Time and attendance calculations
- Integration testing
 - End-to-end testing of all integrations
 - Error handling validation
 - Data reconciliation
- Security testing
 - Access control validation
 - Authentication testing
 - Audit log verification

Weeks 12-14: User Acceptance Testing (UAT)

- UAT environment preparation
- Test case development
 - Payroll processing scenarios
 - New hire onboarding
 - Termination processing
 - Benefits enrollment
 - Time entry and approval
 - Reporting
- UAT execution by Client team
- Defect tracking and resolution
- UAT sign-off

Test Scenarios (Examples):

- Process bi-weekly US payroll with overtime
- Process monthly UK payroll with multiple deductions
- New hire with benefits enrollment and prorated pay
- Termination with final check and PTO payout
- Life event - marriage with benefits changes
- Garnishment setup and processing
- Off-cycle bonus payment
- Multi-state employee time entry
- Year-end W-2 processing (simulated)

Deliverables:

- Test plans and test cases
- UAT results and sign-off
- Defect log and resolution documentation
- System readiness assessment

D.8 Phase 6: Training (Weeks 15-22)

Training Audience:

- **System Administrators:** 5 people
- **Payroll Processors:** 12 people
- **HR Generalists:** 20 people
- **Benefits Administrators:** 8 people
- **Managers (train-the-trainer):** 5 people

Training Delivery:

- **On-site training:** Weeks 16-17 at Client's Menlo Park headquarters
- **Virtual training:** Weeks 18-20 for international teams and supplemental sessions
- **Train-the-trainer:** Week 21 for Client's internal training team
- **Manager training:** Week 22 (virtual sessions)

Training Curriculum:

1. System Navigation and Core Functionality (4 hours)

- Audience: All users
- Topics: Login, navigation, menus, search, help resources
- Format: Instructor-led with hands-on exercises

2. Payroll Processing (8 hours)

- Audience: Payroll processors, administrators
- Topics:
 - Payroll calendar and deadlines
 - Data entry and validation
 - Payroll calculations and adjustments
 - Payroll approval and processing
 - Payment distribution
 - Post-payroll reports and reconciliation
 - Corrections and reversals

- Off-cycle processing
- Format: Instructor-led with hands-on processing simulations

3. Multi-Country Payroll (6 hours)

- Audience: Payroll processors for international payroll
- Topics:
 - Country-specific requirements (Canada, UK, Germany, India, Australia)
 - Local tax and statutory compliance
 - Currency and exchange rate handling
 - Country-specific reporting
- Format: Instructor-led with country-specific breakout sessions

4. Benefits Administration (6 hours)

- Audience: Benefits administrators, HR generalists
- Topics:
 - New hire benefits enrollment
 - Annual open enrollment setup and processing
 - Life event changes
 - COBRA administration
 - Carrier file generation and reconciliation
 - Benefits reporting
 - 401(k) administration
- Format: Instructor-led with hands-on exercises

5. Time and Attendance (4 hours)

- Audience: HR generalists, managers, administrators
- Topics:
 - Time entry methods
 - Time approval workflows
 - PTO requests and tracking
 - Exception management
 - Time and attendance reporting
- Format: Instructor-led with hands-on exercises

6. HRIS and Employee Records (4 hours)

- Audience: HR generalists, administrators
- Topics:
 - Employee data management
 - Onboarding workflows
 - Personnel changes
 - Offboarding processes
 - Document management
 - Organizational management
- Format: Instructor-led

7. Reporting and Analytics (4 hours)

- Audience: All users
- Topics:
 - Standard reports library
 - Running and scheduling reports
 - Report parameters and filters
 - Exporting data
 - Dashboards
 - Ad-hoc report builder
- Format: Instructor-led with hands-on exercises

8. Compliance and Year-End Processing (4 hours)

- Audience: Payroll processors, administrators, compliance lead
- Topics:
 - Tax filing requirements
 - ACA compliance and reporting
 - Year-end W-2 processing
 - Audit trails and documentation
 - Regulatory updates
- Format: Instructor-led

9. Administrator Functions (4 hours)

- Audience: System administrators
- Topics:
 - User management and security
 - System configuration
 - Integration monitoring
 - Troubleshooting
 - Support escalation
- Format: Instructor-led with hands-on exercises

10. Manager Self-Service (2 hours)

- Audience: People managers (train-the-trainer initially, then cascaded)
- Topics:
 - Accessing team information
 - Approving time and PTO
 - Running team reports

- Initiating personnel actions
- Format: Virtual instructor-led

Training Materials:

- Participant workbooks for each course
- Quick reference guides (laminated cards)
- Video tutorials (recorded for on-demand access)
- FAQs and knowledge base articles
- Step-by-step process documentation

Post-Training Support:

- Office hours (Week 23): Daily 2-hour sessions for Q&A
- Learning management system access with on-demand training content
- Regular "tips and tricks" webinars (monthly after go-live)

Deliverables:

- Training materials and workbooks
- Video recordings of training sessions
- Training attendance records
- Training completion certificates
- Knowledge base articles

D.9 Phase 7: Dual-Run Parallel Processing (Weeks 12-23)

Overview: 12-week period during which Client continues processing payroll in legacy system while Provider simultaneously processes identical payroll in new System. This allows validation of new System accuracy before full cutover.

Duration: 12 weeks (3 months)

- Estimated start: Week 12 (early April 2026)
- Estimated end: Week 23 (late June 2026)
- Includes approximately 6-8 parallel payroll cycles (depending on pay frequency)

Process:

For Each Payroll During Dual-Run:

- 1. Data Submission (Day 1-2):**
 - Client submits identical payroll data to both legacy system and Provider
 - Data includes: hours worked, new hires, terminations, salary changes, deductions changes, garnishments, etc.
- 2. Parallel Processing (Day 3-5):**
 - Legacy system: Client processes payroll as normal
 - New System: Provider processes identical payroll
 - Both systems independently calculate gross-to-net pay
- 3. Comparison and Reconciliation (Day 5-7):**
 - Provider generates detailed comparison report
 - Line-by-line comparison of each employee:
 - Gross wages
 - Each deduction and withholding
 - Net pay
 - Tax calculations
 - Employer liabilities
 - Variance identification and root cause analysis
 - Target variance: $\leq 0.01\%$ between systems
- 4. Issue Resolution (Day 7-8):**
 - Investigation of any discrepancies
 - System adjustments if needed
 - Documentation of differences and corrections
 - Reprocessing if necessary
- 5. Approval (Day 8-9):**
 - Client reviews comparison reports
 - Client approves payroll in legacy system
 - Payroll paid via legacy system only
- 6. Payment (Day 10):**
 - Legacy system pays employees (live payment)
 - New System payment files generated but not transmitted (validation only)

Dual-Run Milestones:

After Payroll Cycles 1-2:

- Initial system validation
- Process refinement
- Training reinforcement

After Payroll Cycles 3-4:

- Improved reconciliation variance (target < 0.1%)
- Issue resolution process validated
- User proficiency assessment

After Payroll Cycles 5-6:

- Target variance achieved (< 0.01%)
- All major issues resolved
- Go-live readiness assessment

After Payroll Cycles 7-8 (if needed):

- Final validation
- Confidence confirmation
- Go-live decision

Dual-Run Success Criteria:

- ✓ Achieve $\leq 0.01\%$ variance between systems for 3 consecutive payroll cycles
- ✓ All critical and high-priority defects resolved
- ✓ Tax calculations 100% accurate
- ✓ Client team proficient in new System
- ✓ All integrations functioning correctly
- ✓ Support processes validated
- ✓ Payroll approval workflows working smoothly
- ✓ Reporting meets requirements
- ✓ Benefits administration validated
- ✓ Client stakeholders comfortable with new System

Go/No-Go Decision:

- Week 22: Formal go-live readiness review
- Steering committee evaluates dual-run results
- Decision to proceed with go-live or extend dual-run

Deliverables:

- Parallel processing comparison reports for each payroll cycle
- Variance analysis and reconciliation documentation
- Issue log and resolution tracking
- Go-live readiness assessment
- Go/no-go recommendation

D.10 Phase 8: Go-Live (Week 24)

Go-Live Date: July 15, 2026 (estimated - first payroll processed in new System)

Go-Live Week Activities:

Pre-Go-Live (Days 1-2):

- Final production environment validation
- Final data synchronization from legacy system
- Security access validation
- Integration connections verified
- Banking and payment file configurations verified
- Carrier connections confirmed
- Go-live checklist completion
- Go/no-go decision confirmation

Go-Live Day (Day 3):

- Production cutover
- First payroll processed in new System (no longer in legacy)
- Provider on-site support team present (up to 5 consultants)
- Extended support hours (6:00 AM - 10:00 PM ET)
- War room established for issue triage
- Executive communication and updates

Post-Go-Live (Days 4-5):

- Payroll processing continues
- Issue monitoring and resolution
- User support and assistance
- Daily status meetings
- Stakeholder updates

Go-Live Support:

On-Site Support (Weeks 24-25):

- Up to 5 Provider consultants at Client's Menlo Park headquarters
- Coverage during payroll processing days
- Hands-on assistance for payroll team
- Real-time issue resolution
- User coaching and support

Extended Support Hours (Weeks 24-27):

- Support available 6:00 AM - 10:00 PM ET (Monday-Friday)

- Dedicated phone line and email
- 15-minute response time for critical issues
- Daily status calls (Weeks 24-25)
- Twice-weekly status calls (Weeks 26-27)

Transition to Standard Support (Week 28+):

- Standard support hours resume (7:00 AM - 7:00 PM ET for routine issues, 24/7 for critical)
- Normal SLAs apply
- Regular business review meetings

Post-Go-Live Activities (Weeks 25-28):

- Post-implementation review
- Lessons learned documentation
- Process optimization
- Additional training (if needed)
- Outstanding issue resolution
- Project closure

Deliverables:

- Go-live checklist and sign-off
- Production environment documentation
- Go-live status reports
- Post-implementation review report
- Project closure documentation
- Transition to support documentation

D.11 Project Risks and Mitigation Strategies

Risk Management Approach:

- Weekly risk register review during project status meetings
- Proactive identification and mitigation planning
- Escalation process for high-impact risks
- Executive steering committee oversight of critical risks

Key Risks:

Risk	Likelihood	Impact	Mitigation Strategy
Data quality issues in legacy system	High	High	Early data assessment, extended data cleansing phase, multiple test loads
Client resource availability	Medium	High	Early commitment of resources, clear expectations, executive sponsorship
Integration complexity	Medium	High	Early integration design, phased testing, technical specialists engaged
Scope creep	Medium	Medium	Formal change control process, scope management, regular scope reviews
Regulatory changes during implementation	Low	High	Compliance monitoring, flexible configuration, System updates by Provider
Go-live delay	Medium	High	Realistic timeline, buffer time, early risk identification, go/no-go checkpoints
User resistance	Medium	Medium	Change management, comprehensive training, executive communication
Dual-run variance	Medium	High	Extended dual-run period, detailed reconciliation process, issue resolution resources

D.12 Change Management

Change Management Activities:

Communication:

- Project kickoff announcement to all employees
- Monthly project newsletters
- Executive updates (bi-weekly during critical phases)
- FAQ website
- Town hall presentations
- Go-live announcement

Stakeholder Engagement:

- Regular steering committee meetings

- Department-specific impact assessments
- Key user involvement in testing and training
- Manager preparation sessions

User Adoption:

- Comprehensive training program
- Super-user network
- Early adopter program
- Post-go-live support resources
- Feedback mechanisms

SCHEDULE E: DATA PROCESSING AGREEMENT (GDPR)

E.1 Purpose and Scope

This Data Processing Agreement ("DPA") supplements the Agreement and applies to Provider's processing of Personal Data (as defined below) on behalf of Client.

This DPA reflects the parties' agreement on the terms governing the processing and security of Personal Data in connection with the Services, in accordance with applicable Data Protection Laws including the General Data Protection Regulation (EU) 2016/679 ("GDPR") and other applicable data protection laws.

E.2 Definitions

For purposes of this DPA:

"Data Protection Laws" means all applicable laws and regulations relating to privacy and data protection, including GDPR, UK Data Protection Act 2018, California Consumer Privacy Act (CCPA), Canadian Personal Information Protection and Electronic Documents Act (PIPEDA), Australian Privacy Act 1988, and other applicable privacy laws in the Covered Countries.

"Personal Data" means any information relating to an identified or identifiable natural person contained in Employee Data, including names, identification numbers, location data, online identifiers, and factors specific to physical, physiological, genetic, mental, economic, cultural, or social identity.

"Processing" means any operation performed on Personal Data, whether automated or manual, including collection, recording, organization, structuring, storage, adaptation, retrieval, consultation, use, disclosure by transmission, dissemination, restriction, erasure, or destruction.

"Controller" means the entity which determines the purposes and means of Processing Personal Data. Client is the Controller.

"Processor" means the entity which Processes Personal Data on behalf of the Controller. Provider is the Processor.

"Sub-processor" means any Processor engaged by Provider to Process Personal Data.

"Data Subject" means the identified or identifiable natural person to whom Personal Data relates (i.e., Employees).

"Supervisory Authority" means an independent public authority established by an EU Member State or other jurisdiction to oversee compliance with Data Protection Laws.

E.3 Roles and Responsibilities

E.3.1 Client is the Controller of Personal Data, and Provider is the Processor acting on behalf of Client.

E.3.2 Client shall:

- Determine the purposes and means of Processing Personal Data
- Ensure lawful basis for Processing (e.g., employment contract, legal obligation, consent where required)
- Provide Data Subjects with required privacy notices
- Obtain necessary consents from Data Subjects for Provider to Process Personal Data
- Ensure accuracy and completeness of Personal Data provided to Provider
- Respond to Data Subject requests regarding Personal Data

E.3.3 Provider shall:

- Process Personal Data only in accordance with Client's documented instructions
- Assist Client in meeting its obligations under Data Protection Laws
- Implement appropriate technical and organizational measures to protect Personal Data
- Maintain confidentiality of Personal Data
- Assist Client in responding to Data Subject requests
- Notify Client of data breaches
- Delete or return Personal Data upon termination (subject to legal retention requirements)

E.4 Processing Instructions

E.4.1 Provider shall Process Personal Data only on documented instructions from Client, except where required by applicable law. The Agreement, including this DPA, constitutes Client's complete instructions to Provider regarding Processing of Personal Data.

E.4.2 Provider's authorized Processing activities include:

- Storing Personal Data in the System
- Processing payroll and calculating compensation
- Calculating and remitting taxes
- Administering benefits programs
- Managing employee records
- Generating reports and analytics
- Providing access to Personal Data via self-service portals

- Transmitting Personal Data to government authorities, tax agencies, benefits carriers, and other third parties as necessary to perform the Services
- Such other Processing as reasonably necessary to perform the Services

E.4.3 If Provider believes that any instruction from Client violates Data Protection Laws, Provider shall promptly inform Client. If Client does not withdraw or modify the instruction, Provider may refuse to comply with the instruction.

E.5 Security Measures

E.5.1 Provider shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk, including as specified in Section 2.8 of the Agreement:

- Encryption of Personal Data (AES-256 at rest, TLS 1.3 in transit)
- Pseudonymization where appropriate
- Confidentiality, integrity, availability, and resilience of systems
- Regular testing and evaluation of security measures
- Multi-factor authentication
- Access controls and privilege management
- Security monitoring and incident detection
- Employee training on data protection

E.5.2 Provider shall maintain SOC 2 Type II certification and ISO 27001 certification covering its Processing of Personal Data.

E.6 Sub-processors

E.6.1 Client authorizes Provider to engage Sub-processors as listed in Article 14 of the Agreement and Schedule E-1 (Sub-processor List) attached hereto.

E.6.2 Provider shall:

- Enter into written agreements with Sub-processors imposing data protection obligations substantially similar to this DPA
- Remain liable to Client for Sub-processors' performance
- Provide at least 30 days advance notice before engaging new Sub-processors that will Process Personal Data

E.6.3 Client may object to a new Sub-processor within 30 days of notice on reasonable grounds relating to data protection. If Client objects, parties shall work together to find a resolution. If no resolution is reached within 30 days, Client may terminate the Agreement as specified in Article 14.3 of the Agreement.

E.7 Data Subject Rights

E.7.1 Provider shall, to the extent legally permitted and taking into account the nature of the Processing, assist Client in fulfilling its obligations to respond to Data Subject requests to exercise their rights under Data Protection Laws, including:

- Right of access
- Right to rectification
- Right to erasure ("right to be forgotten")
- Right to restriction of Processing
- Right to data portability
- Right to object to Processing

E.7.2 If Provider receives a Data Subject request directly, Provider shall forward the request to Client within 2 Business Days and shall not respond to the Data Subject unless instructed by Client or required by law.

E.7.3 Provider shall provide reasonable assistance to Client in responding to Data Subject requests within Client's required timeframes (typically 30 days under GDPR). Client shall reimburse Provider for costs associated with extensive assistance exceeding 10 hours per year at standard hourly rates.

E.8 Data Protection Impact Assessment and Prior Consultation

Provider shall provide reasonable assistance to Client in conducting Data Protection Impact Assessments and prior consultations with Supervisory Authorities, to the extent such assistance is required and relates to the Processing of Personal Data by Provider.

E.9 Data Breaches

E.9.1 Provider shall notify Client without undue delay and in any event within 24 hours of becoming aware of a Personal Data breach affecting Employee Data.

E.9.2 Provider's notification shall include, to the extent available:

- Nature of the breach, including categories and approximate number of Data Subjects and Personal Data records affected
- Name and contact details of Provider's Data Protection Officer or other contact point
- Likely consequences of the breach
- Measures taken or proposed to address the breach and mitigate its effects

E.9.3 Provider shall:

- Investigate the breach and take steps to mitigate harm
- Cooperate with Client in investigating the breach
- Provide regular updates on the investigation and remediation
- Provide written reports documenting the breach, investigation, and corrective actions
- Implement measures to prevent recurrence

E.9.4 Provider shall maintain cyber liability insurance covering data breaches as specified in Article 11.

E.10 Data Transfers

E.10.1 Provider may transfer Personal Data outside the European Economic Area (EEA) or United Kingdom only where an adequate level of protection is ensured, including through:

- Transfers to countries with adequacy decisions from the European Commission or UK
- Standard Contractual Clauses approved by the European Commission
- Binding Corporate Rules
- Privacy Shield Framework certification (where applicable and valid)
- Other legally compliant transfer mechanisms

E.10.2 Provider's standard data hosting locations are:

- **US/Canada Personal Data:** AWS US East (Virginia) and US West (Oregon) regions
- **UK Personal Data:** AWS Europe (London) region
- **Germany Personal Data:** AWS Europe (Frankfurt) region
- **India Personal Data:** AWS Asia Pacific (Mumbai) region
- **Australia Personal Data:** AWS Asia Pacific (Sydney) region

E.10.3 Provider shall maintain Standard Contractual Clauses with Sub-processors who receive Personal Data outside the EEA or UK.

E.11 Audits and Compliance

E.11.1 Provider shall make available to Client all information necessary to demonstrate compliance with this DPA and Data Protection Laws.

E.11.2 Provider shall allow for and contribute to audits, including inspections, conducted by Client or an auditor mandated by Client, in accordance with Article 13 (Audit Rights) of the Agreement.

E.11.3 Provider shall provide Client with:

- Annual SOC 2 Type II audit reports
- ISO 27001 certificates
- Summaries of security testing results (upon request)
- Data Processing Records as required under GDPR Article 30

E.12 Data Retention and Deletion

E.12.1 Upon termination or expiration of the Agreement, Provider shall:

- Return all Personal Data to Client in a structured, commonly used, and machine-readable format within 30 days
- Delete all copies of Personal Data in Provider's systems and backups within 90 days, except as required by applicable law

E.12.2 Provider may retain Personal Data for up to 6 months following termination as specified in Section 6.6(c) of the Agreement for legitimate purposes including responding to tax authority inquiries and defending claims.

E.12.3 Provider shall certify in writing the deletion of Personal Data after retention periods expire, as specified in Section 6.6(c).

E.13 Data Protection Officer

E.13.1 Provider has appointed a Data Protection Officer who may be contacted at:

- Name: Rebecca Morrison, CIPP/E, CIPM
- Email: dpo@globalhr.com
- Phone: +1 (404) 555-0199

E.13.2 Client may contact Provider's DPO regarding questions or concerns about Provider's Processing of Personal Data or compliance with this DPA.

E.14 Liability and Indemnification

E.14.1 Each party's liability under this DPA shall be subject to the limitations of liability set forth in Article 8 of the Agreement, except where Data Protection Laws impose strict liability.

E.14.2 Provider shall indemnify Client for fines, penalties, and damages imposed by Supervisory Authorities due to Provider's non-compliance with GDPR and this DPA, subject to the limitations in Article 7 and 8 of the Agreement.

E.15 Conflict

In the event of any conflict between this DPA and the Agreement, this DPA shall prevail to the extent of the conflict with respect to the Processing of Personal Data.

SCHEDULE E-1: SUB-PROCESSOR LIST

Last Updated: January 15, 2026

Sub-processor Name	Location	Services	Personal Data Processed	Safeguards
Amazon Web Services, Inc.	United States	Cloud hosting and infrastructure	All Personal Data in hosted systems	Standard Contractual Clauses, SOC 2, ISO 27001
Microsoft Corporation (Azure)	United States	Disaster recovery and backup services	Backup copies of all Personal Data	Standard Contractual Clauses, SOC 2, ISO 27001
	United	Background check	Employee names, SSNs, addresses,	FCRA compliance, Standard

HireRight LLC Sub-processor Name GlobalVerify Limited	States Location United Kingdom	services Services International background checks	employment history Personal Data Processed Employee names, ID numbers, addresses, employment history	Contractual Clauses Safeguards ICO registration, Standard Contractual Clauses, ISO 27001
DaVinci Payments	United States	Benefits premium payment processing	Employee names, benefit enrollment data, banking information	PCI-DSS, SOC 2
TaxWire Express	United States	Electronic tax filing	Employee names, SSNs, tax withholding data, compensation	IRS-approved electronic filer, SOC 2
HMRC Bridge Services Ltd	United Kingdom	UK tax filing (RTI)	Employee names, NINOs, PAYE data	HMRC-approved software, ICO registration
JPMorgan Chase Bank, N.A.	United States	Payment processing (ACH/wire)	Employee names, banking information, payment amounts	GLBA compliance, SOC 2
HSBC Bank plc	United Kingdom	Payment processing (BACS/SEPA)	Employee names, bank account details, payment amounts	FCA regulated, ISO 27001

SCHEDULE F: IMPLEMENTATION PLAN SUMMARY

(Detailed implementation plan provided in Schedule D)

Implementation Timeline: 24 weeks (6 months) Estimated Start Date: January 15, 2026 Estimated Go-Live Date: July 15, 2026

Key Milestones:

- Week 1: Project kickoff
- Week 6: System configuration complete
- Week 8: Data migration complete
- Week 10: Integration testing complete
- Week 12: Dual-run begins
- Week 22: Training complete
- Week 23: Dual-run complete / Go-live readiness review
- Week 24: Go-live / First production payroll

Implementation Fee: \$185,000 (payment schedule in Section 5.2)

END OF AGREEMENT